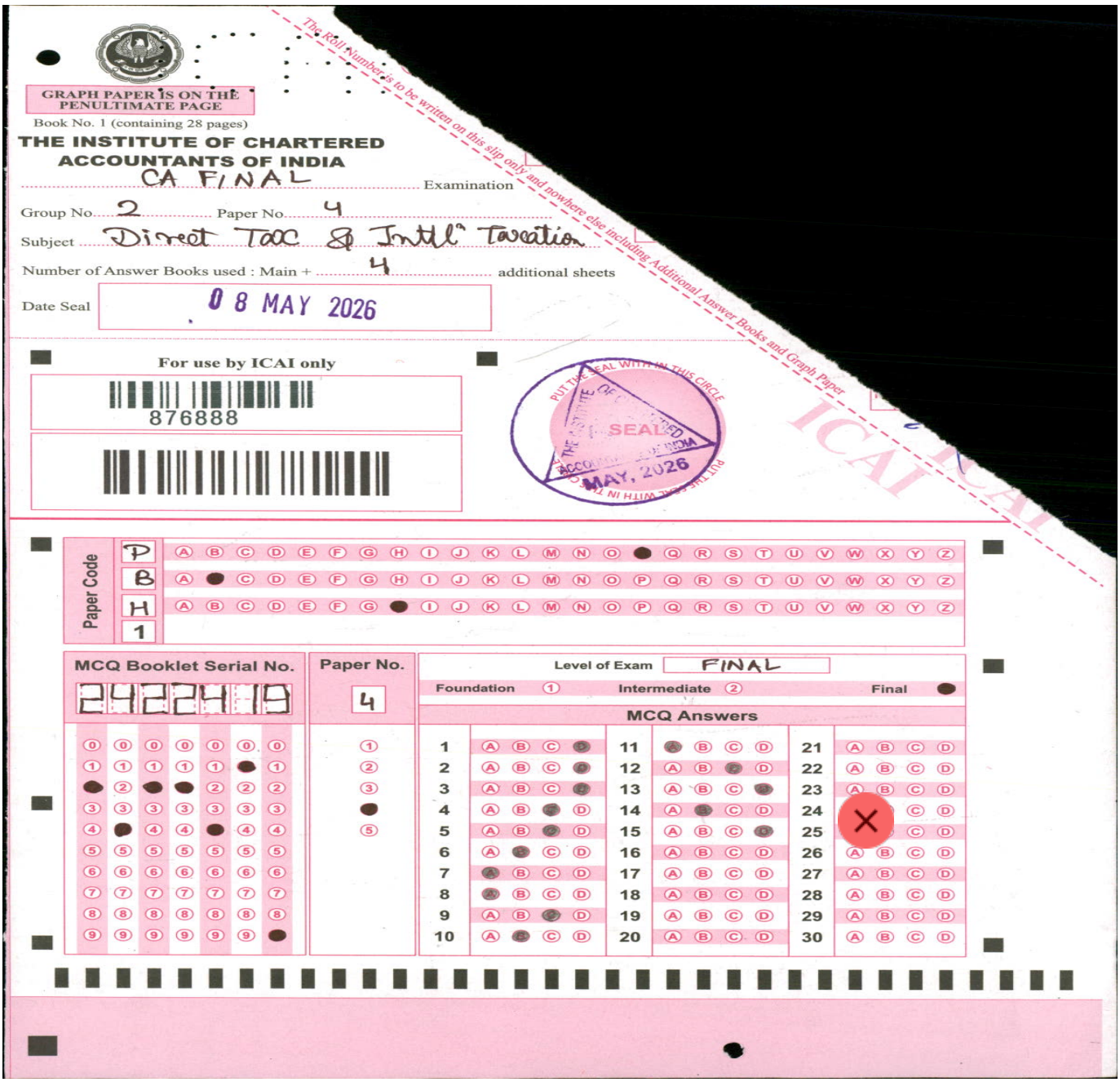
The Institute of Chartered Accountants of India

Code: FN4DT876888 **Total Marks:** 70

Subject : 04 Direct Tax Laws and International Taxation **Marks Obtained :** 50.5



GRAPH PAPER IS ON THE PENULTIMATE PAGE

Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA FINAL Examination

Group No. 2 Paper No. 4

Subject Direct Tax & Intl Taxation

Number of Answer Books used : Main + 4 additional sheets

Date Seal 08 MAY 2026

The Roll Number is to be written on this slip only and nowhere else including Additional Answer Books and Graph Paper.

For use by ICAI only

876888

PUT THE SEAL WITH IN THIS CIRCLE

SEALED MAY, 2026

Paper Code: P B H 1

MCQ Booklet Serial No. 2422419

Paper No. 4

Level of Exam FINAL

Foundation ① Intermediate ② Final ●

MCQ Answers

1	A	11	A	21	A
2	A	12	A	22	A
3	A	13	A	23	A
4	A	14	A	24	A
5	A	15	A	25	A
6	A	16	A	26	A
7	A	17	A	27	A
8	A	18	A	28	A
9	A	19	A	29	A
10	A	20	A	30	A

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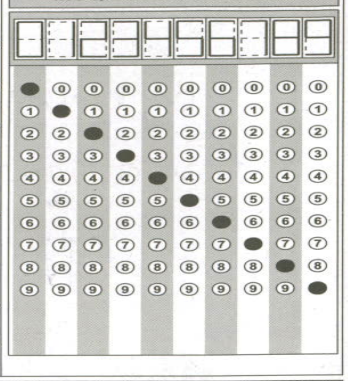
Code: FN4DT876888 **Total Marks:** 70

Subject : 04 Direct Tax Laws and International Taxation **Marks Obtained :** 50.5

DIDATE

...of the cover ...of the OMR portion ...t the appropriate space at the ...ect and affix the same on box provided ...t Roll number written in numbers, words and ...ormation wrongly, Institute will not take any ...n a fresh page and question number prominently written at the ...n number should be distinctly written in the margin. ...ould be fully completed in one page or in a consecutive set of pages, ...other than the space provided for the purpose or writing distinguishing mark, ...esus", "786", etc., will tantamount to adoption of "unfair means" ...answer book to the invigilator take care to score out (X) blank pages, if any, that you

Illustration for Filling the MCQ Booklet Serial No.



...RUCTIONS TO THE CANDIDATE FOR FILLING THE MCQ AN...ER FIELDS

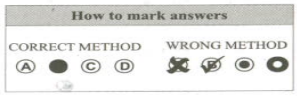
...y **H.B. Pencil to Darken the appropriate Circle.**

...e and darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

...n case any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.

3. Please darken the complete circle.
4. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers



Q. No.	To be ticked ☑ by the candidate against the Questions answered (Descriptive Type)		
1	☑	8	☐
2	☑	9	☐
3	☑	10	☐
4	☑	11	☐
5	☑	12	☐
6	☐	13	☐
7	☐	14	☐
Total		Total	

03

Answer 3 (a)

(i) As per Income Tax Act, 1961 ; where the Assessing officer notices during the assessment proceedings of the Registered Trust that amount has been applied for the non Specified purposes including for private motive, he shall make a reference to CIT to withdraw the registration granted to the Trust

On the basis of Reference, CIT shall call for relevant information required and Pass the order as it deemed to be fit.

→ Either to cancel the Registration
or
→ Refuse to cancel the Registration

Utilization of funds of for private purpose is one of the Specified violation as per law.

The Institute of Chartered Accountants of India

Code: FN4DT876888 **Total Marks:** 70
Subject : 04 Direct Tax Laws and International Taxation **Marks Obtained :** 50.5

04

In the given case, Since Assessing officer made reference to CIT while assessment proceedings, the CIT has Power to investigate the matter & cancel the Registration certificate of the Trust if found violated.

3aiStep1 1 Marks 3ai 1 Marks

(ii) As per [Sec 11] of Income Tax Act, 1961 where the registered trust is unable to apply the amount received during the year due to some reasons, the Trust shall file a Form regarding the same to the Department.

The amount should be applied for the purposes in the next financial year.

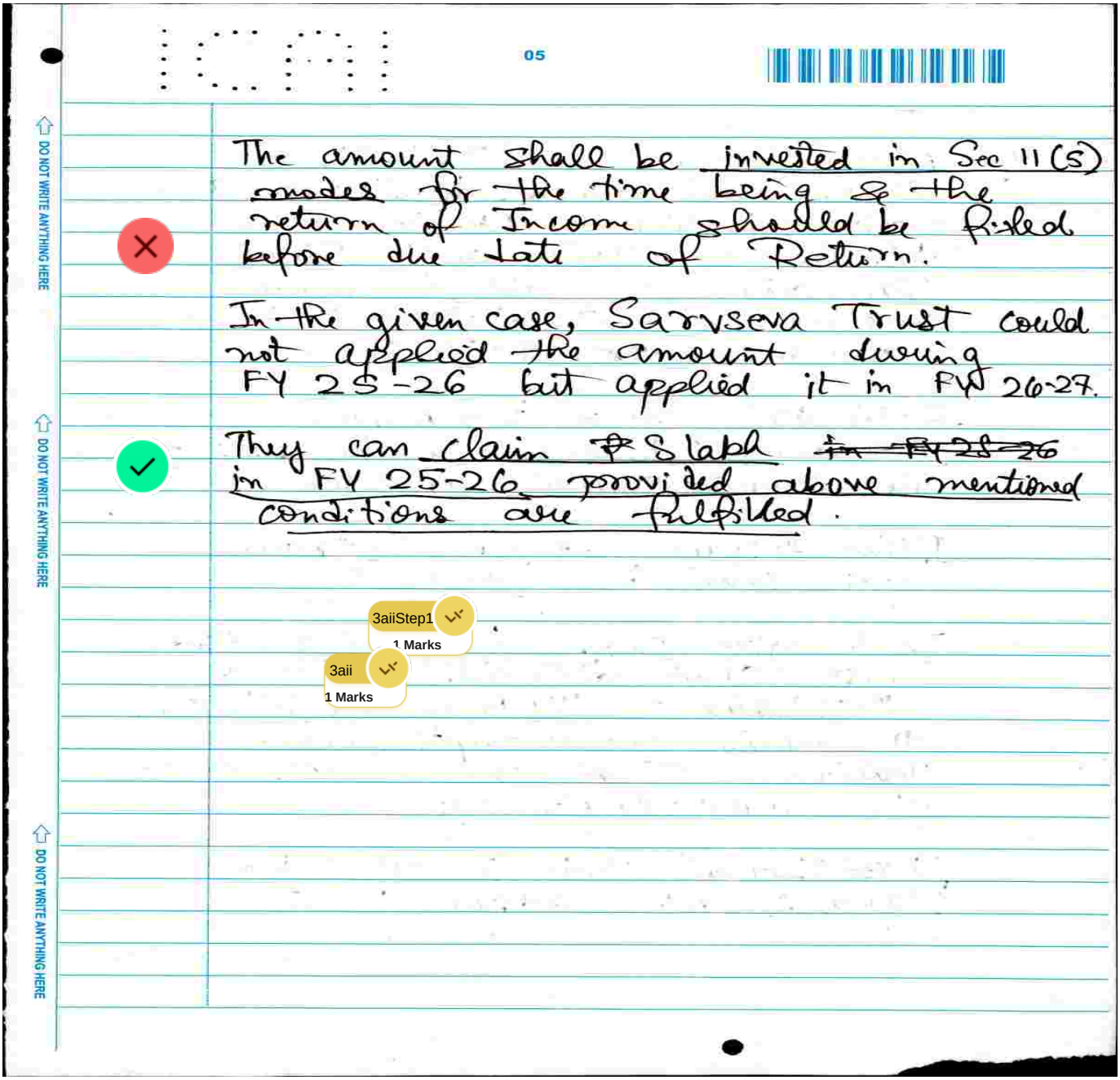
Where the amount is not applied in next FY, it shall be taxable @30% u/s 115BBI

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Code: FN4DT876888 **Total Marks:** 70

Subject : 04 Direct Tax Laws and International Taxation **Marks Obtained :** 50.5



05

The amount shall be invested in Sec 11(5) modes for the time being & the return of Income should be filed before due date of Return.

In the given case, Sarvseva Trust could not applied the amount during FY 25-26 but applied it in FY 26-27.

They can claim ~~₹~~ Slabh ~~in FY 25-26~~ in FY 25-26 provided above mentioned conditions are fulfilled.

3aiiStep1 1 Marks

3aii 1 Marks

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06

(iii) As per Income Tax Act, 1961; Electoral Trust shall donate the donations received during the previous year totalling to 95% of the total Donations. So that Donations received are not taxable in hands of the electoral Trust

In the first year of incorporation, Maximum 5 lakhs can be used for the administrative expenses

Other Incomes of the electoral Trust shall be Taxable

→ In the given case, Swadeshi Electoral Trust shall distribute 95% of 120 lakhs = 114 lakhs or 1.14 cr to avail the exemption and maximum 5 lakh can be spent for administrative exp.

Fixed Deposit Interest shall be Taxable for electoral Trust

3aiiiStep1 1.5 Marks

3aiii 1.5 Marks

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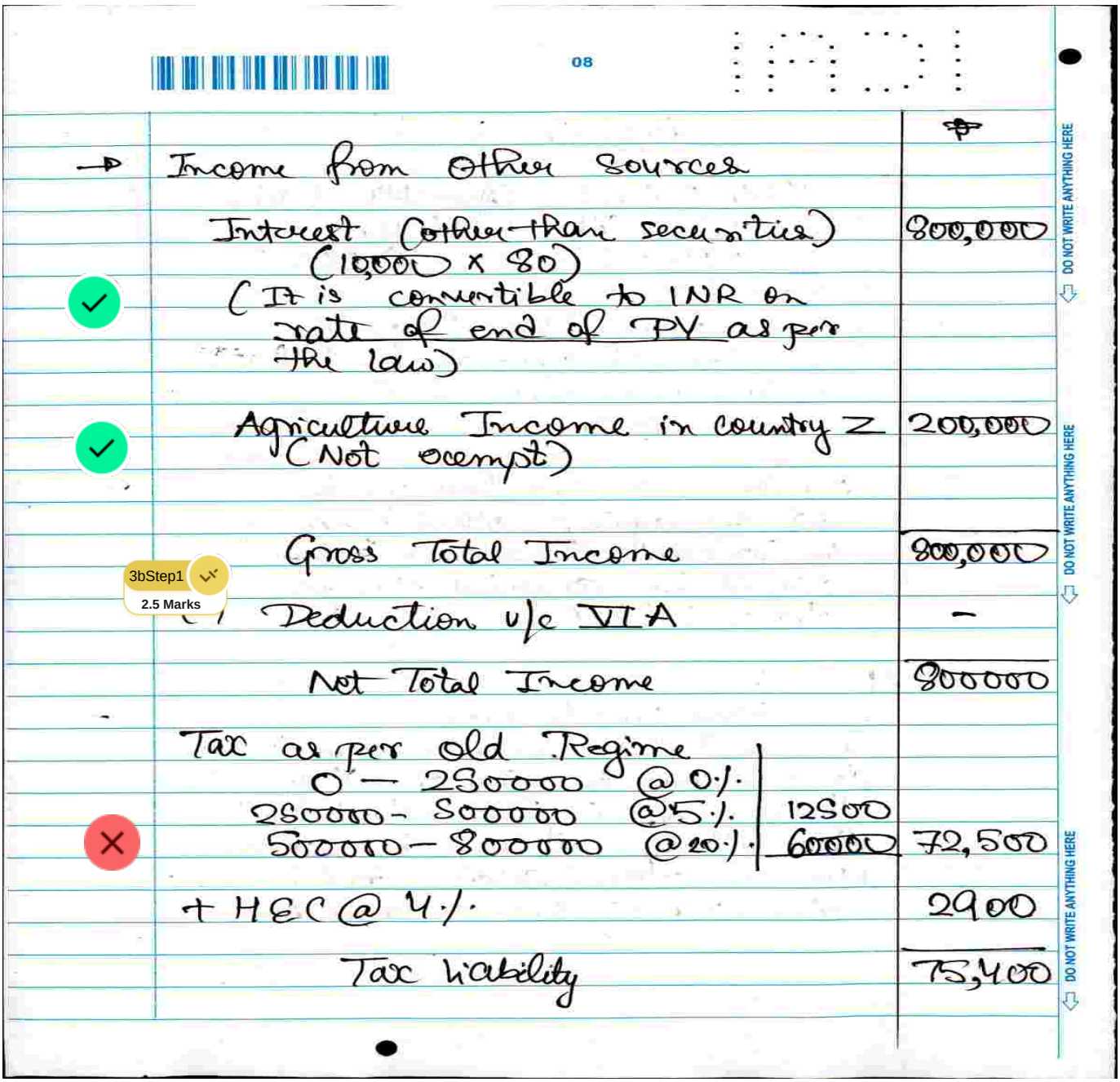
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07

Answer 3(b)

Computation of Mr. Mohan
(Age – 46 yrs)
PY 25-26 AY 26-27

Particulars	₹
Income from House Property	
Chennai property	4,30,000
(+) loss from property in country Z	(13 0000)
	300000
Maximum ₹2 lac loss can be set off against other heads of Income. Balance ₹1 lakh shall be carried forward to next PY	(200000)
PGBP	
Royalty income (As per DTAA, the royalty income is taxable in Country X only. Therefore, not Taxable in India. Alternatively, it can be shown under other sources head. NO Impact on overall Amt)	–



08

→ Income from Other Sources		
Interest (other than securities) (10,000 x 80) (It is convertible to INR on rate of end of PY as per the law)		800,000
Agriculture Income in country Z (Not exempt)		200,000
Gross Total Income		800,000
3bStep1 2.5 Marks — Deduction u/c VI A		-
Net Total Income		800000
Tax as per old Regime		
0 — 250000 @ 0%		
250000 - 500000 @ 5%	12500	
500000 - 800000 @ 20%	60000	72,500
+ HEC @ 4%		2900
Tax liability		75,400

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09

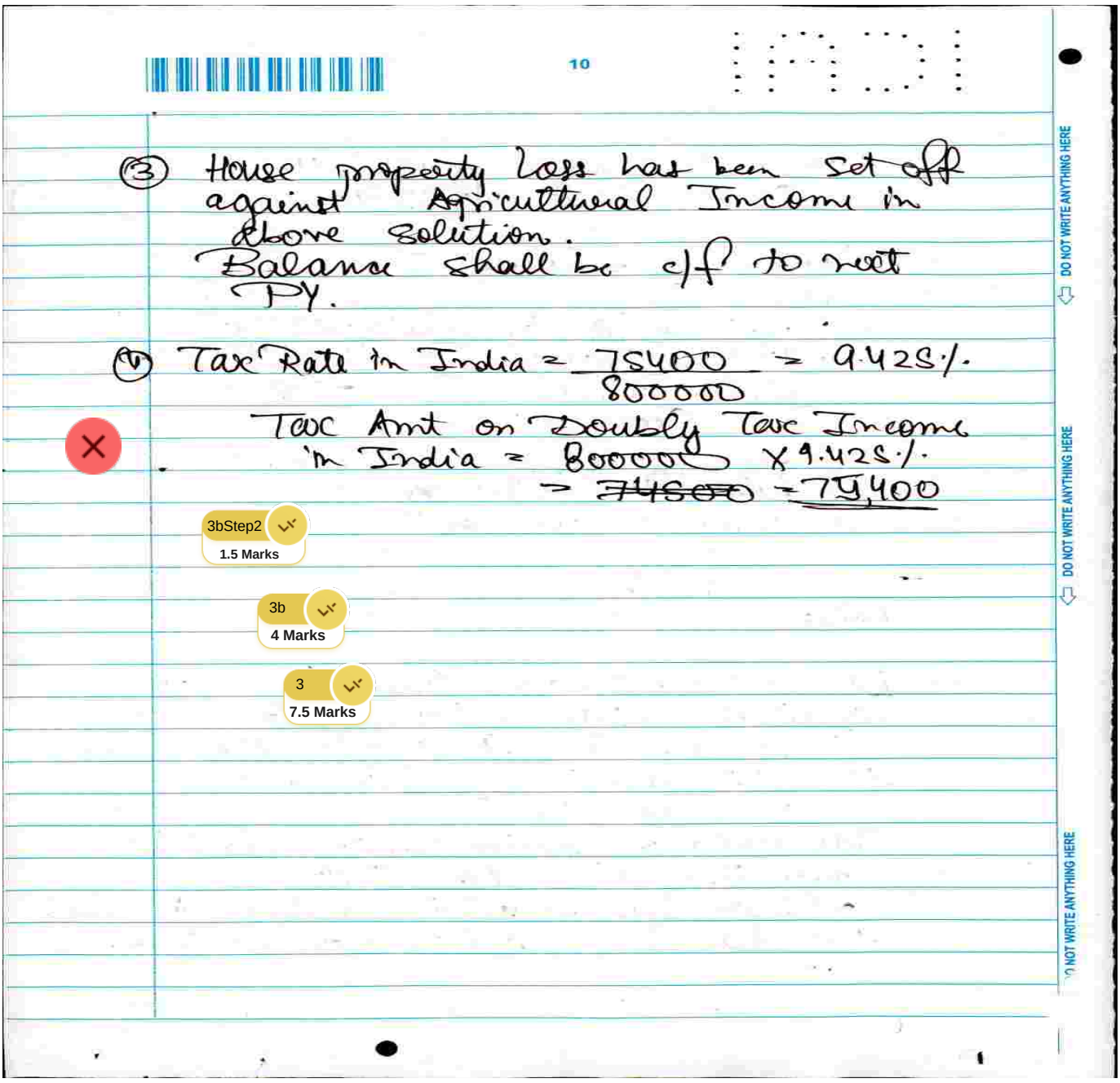
	₹
– Rebate under Foreign Tax Credit Rule u/r 12B	(75400)
Lower of below	
• Amt of Tax in India = 75,400 (Note 4)	
• Amt of Tax paid in foreign country (1000 × 78) = 78,000	
Net Tax liability	–

Note:

(1) No Rebate under country 2 is available, reason being, no Tax is paid in that country for the Double Taxed Income.

(2) Tax paid in foreign country shall be converted to INR using rate on last date of previous month in which tax has been paid or deducted.

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10

(3) House property loss has been set off against ~~Agricultural~~ Income in above solution. Balance shall be c/f to next PY.

(4) Tax Rate in India = $\frac{75400}{800000}$ = 9.425%.

Tax Amt on Doubly Tax Income in India = 800000 X 9.425% = ~~754000~~ = 75,400

3bStep2 1.5 Marks

3b 4 Marks

3 7.5 Marks

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11

Answer 4a

(i) As per [Sec 194R], [TDS @ 10%] shall be applicable on benift arising from the business if Amount is more than ₹20,000 and payee is resident person

~~The amount~~

The purpose purchase price shall be considered in case of benefit is purchased before

TDS shall be applicable in the Given case Since ₹2,80,000 is above the limit

TDS Amt = 10% of ₹280000
= [₹28,000]

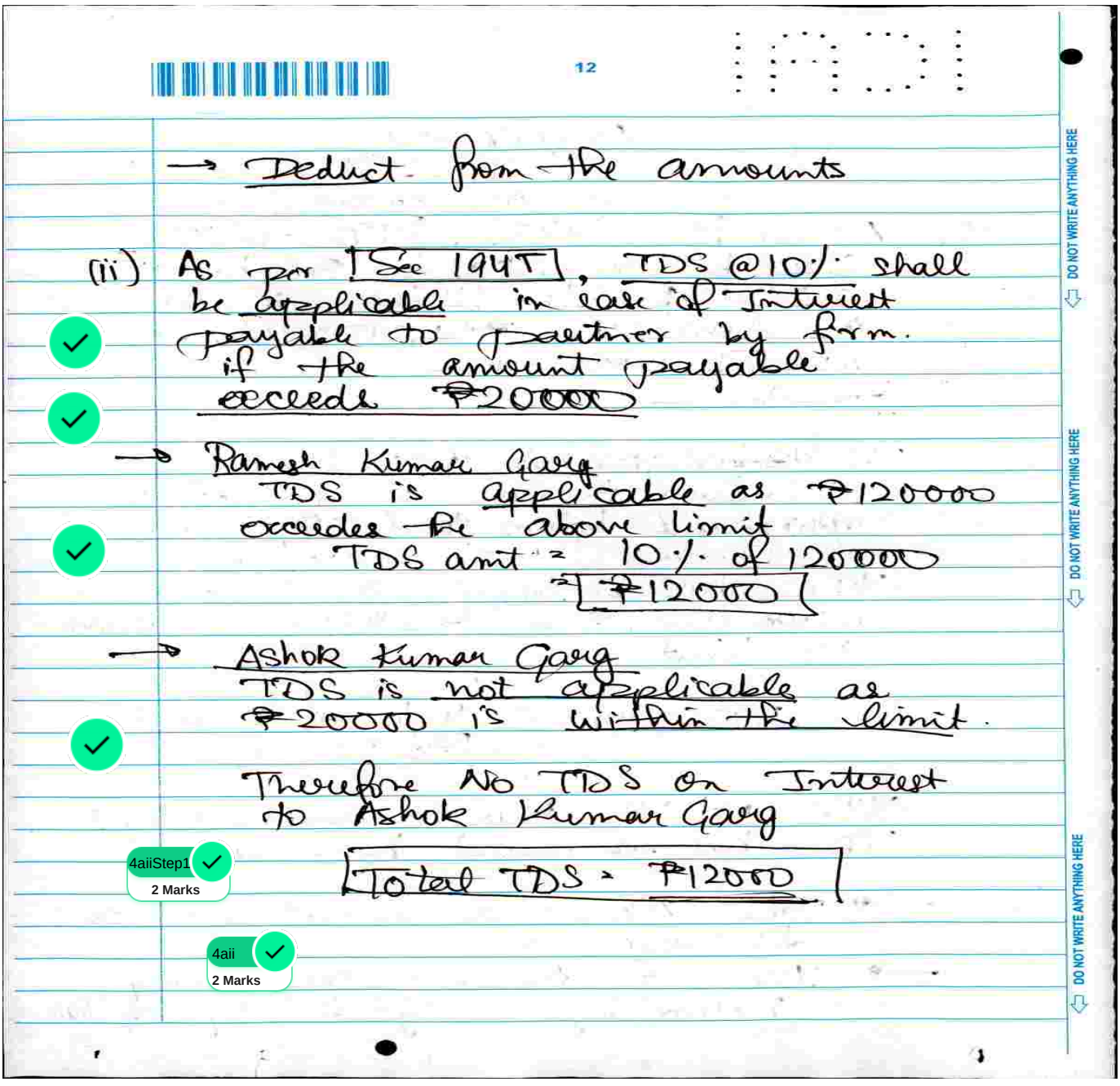
XYZ Pvt Ltd. has to ensure that TDS has been paid by following

→ Take Advance Tax Receipt from the distributor

→ Pay self tax using the grossup method by bearing the cost of Tax

4aiStep1 1.5 Marks

4ai 1.5 Marks



12

→ Deduct from the amounts

(ii) As per [Sec 194T], TDS @10% shall be applicable in case of Interest payable to partner by firm. if the amount payable exceeds ₹20000

→ Ramesh Kumar Garg
TDS is applicable as ₹120000 exceedes the above limit
TDS amt = 10% of 120000
= [₹12000]

→ Ashok Kumar Garg
TDS is not applicable as ₹20000 is within the limit.

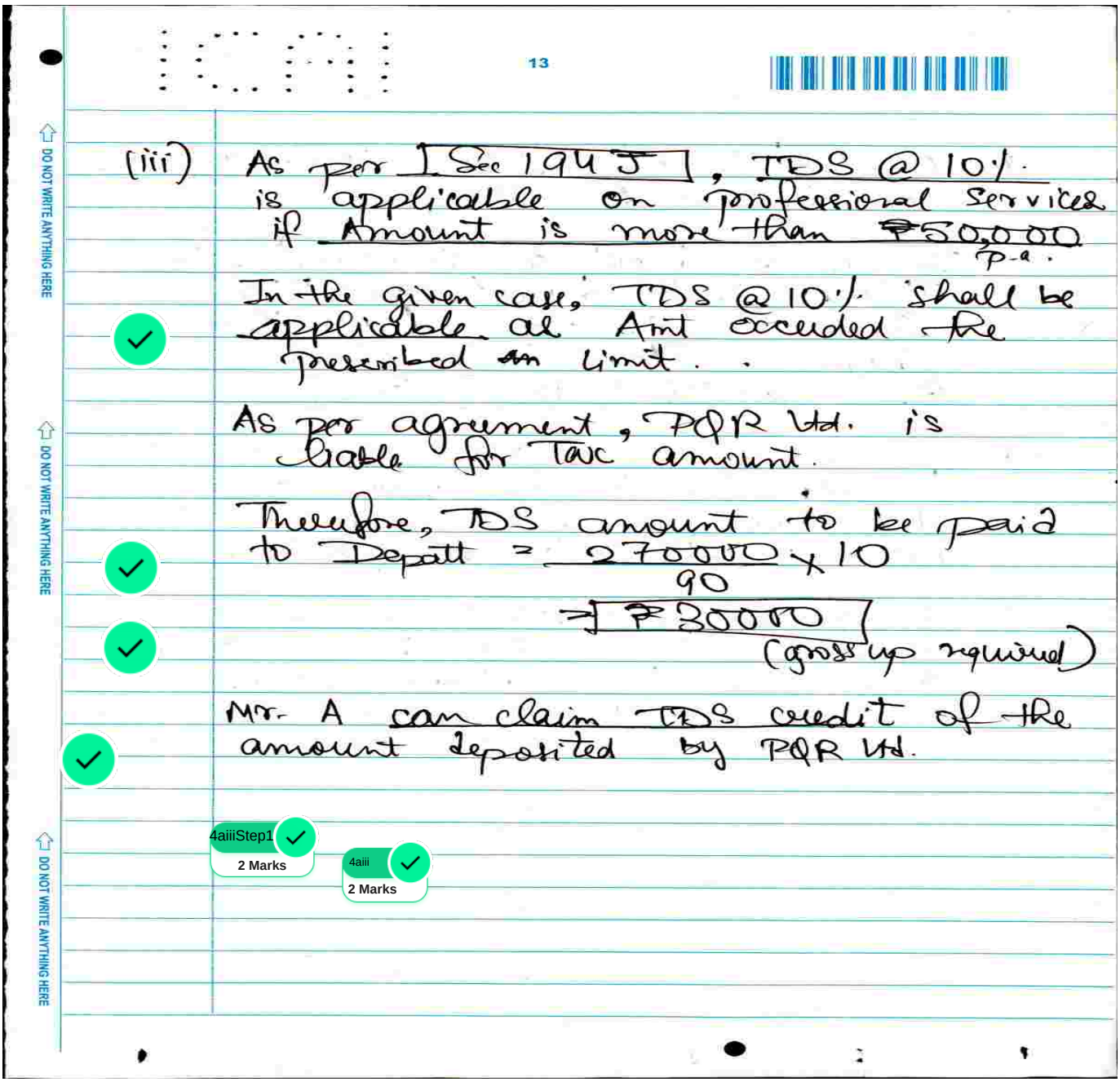
Therefore NO TDS on Interest to Ashok Kumar Garg

[Total TDS = ₹12000]

4aiiStep1 2 Marks

4aii 2 Marks

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13

(iii) As per [Sec 194J], TDS @ 10% is applicable on professional services if Amount is more than ₹50,000 p.a.

In the given case, TDS @ 10% shall be applicable as Amt exceeded the prescribed an limit.

As per agreement, PQR Ltd. is liable for TDC amount.

Therefore, TDS amount to be paid to Deptt = $\frac{270000}{90} \times 10$

⇒ [₹30000] (gross up required)

Mr. A can claim TDS credit of the amount deposited by PQR Ltd.

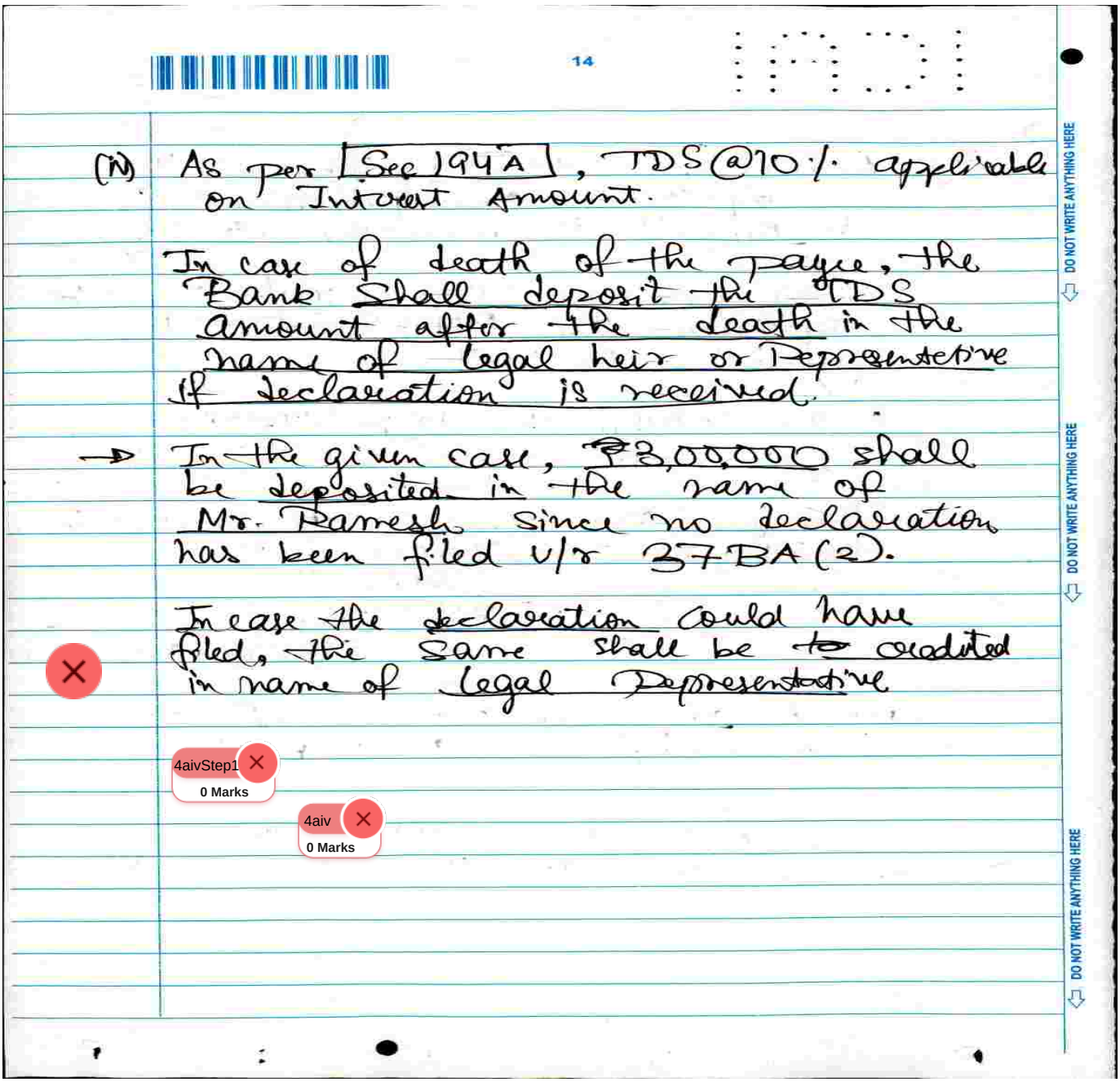
4aiiiStep1 2 Marks

4aiii 2 Marks

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14

(iv) As per [Sec 194A], TDS @10% applicable on Interest Amount.

In case of death of the payee, the Bank shall deposit the TDS amount after the death in the name of legal heir or Representative if declaration is received.

→ In the given case, ₹3,00,000 shall be deposited in the name of Mr. Ramesh since no declaration has been filed u/s 37BA(2).

In case the declaration could have filed, the same shall be to credited in name of legal Representative

4aivStep1 0 Marks

4aiv 0 Marks

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Answer 4 (b)

Declared price = ₹72,975

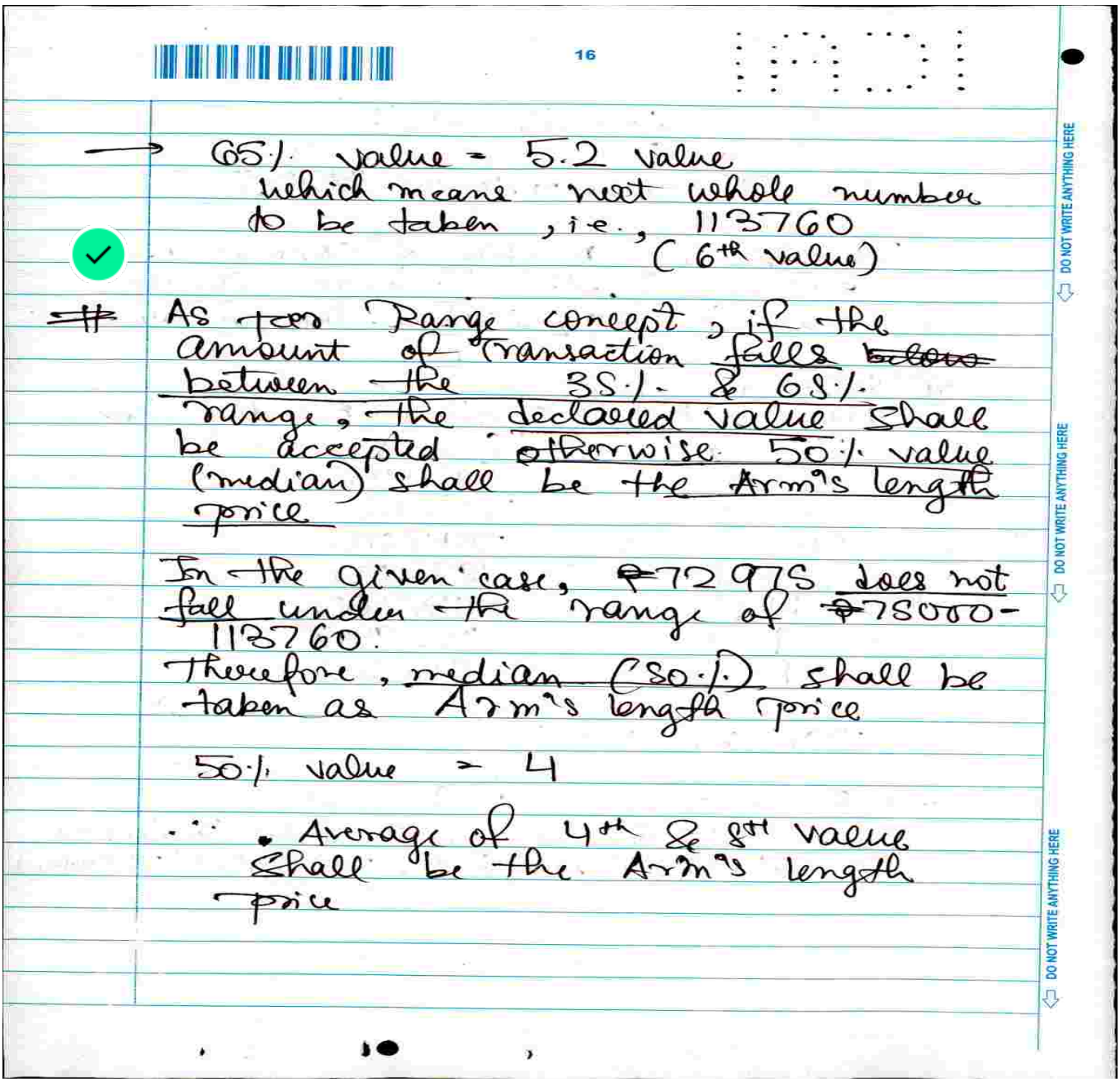
In case the number of comparable exceeds 5, then Range concept shall be applicable as follows:

Name	Profit operating (Ascending order)
C	68850
A	69750
E	75000
B	79200
D	83400
H	113760
G	132938
F	145500

Total no. = 8

→ 35% value = 2.8 value
which means next whole number to be taken, i.e., 75000 (3rd value)

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16

→ 65% value = 5.2 value
which means next whole number to be taken, i.e., 113760 (6th value)

As per Range concept, if the amount of transaction falls ~~below~~ between the 35% & 65% range, the declared value shall be accepted otherwise 50% value (median) shall be the Arm's length price

In the given case, ₹72975 does not fall under the range of ₹75000-113760.
Therefore, median (50%) shall be taken as Arm's length price

50% value = 4

∴ Average of 4th & 5th value shall be the Arm's length price

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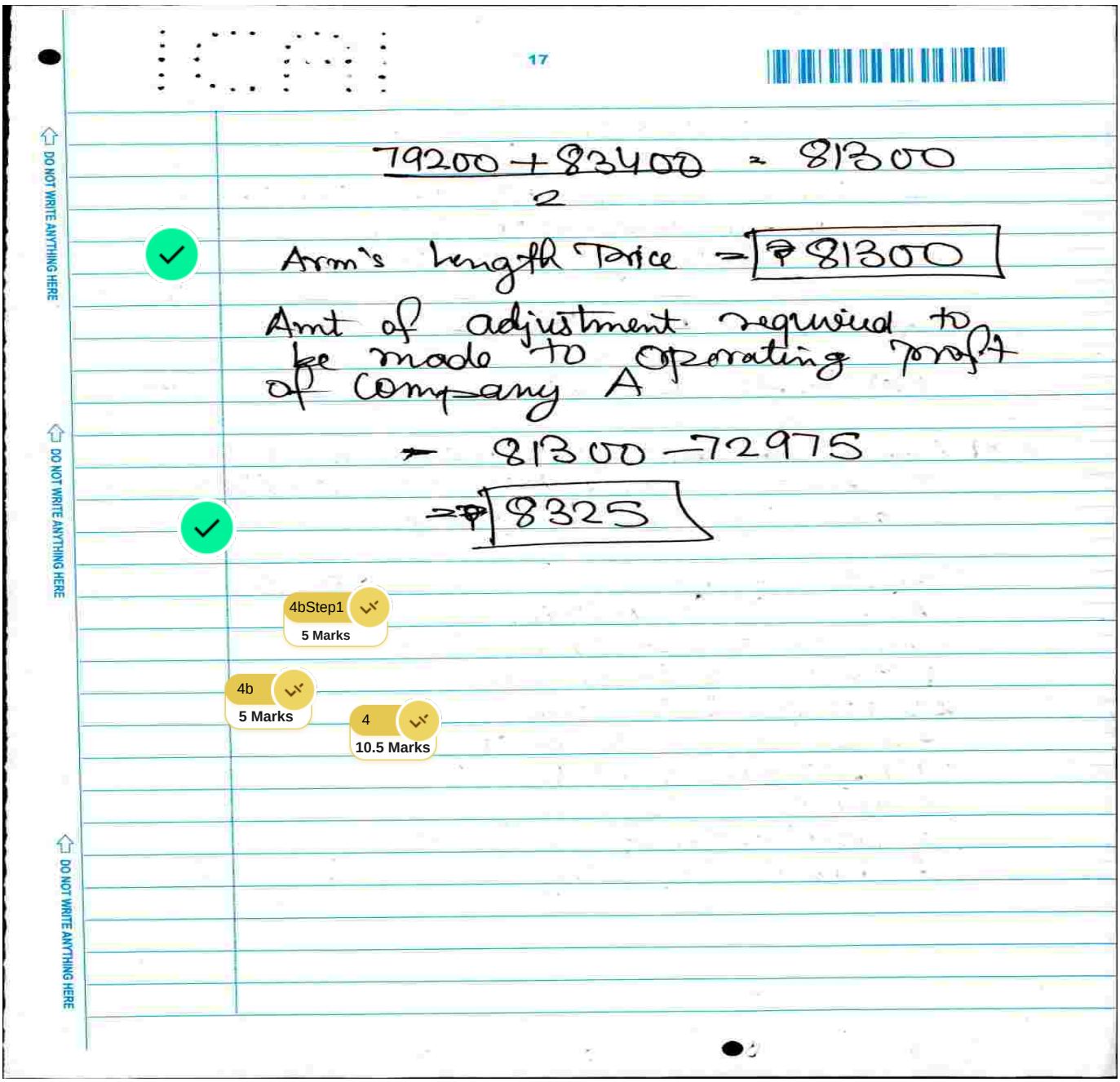
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Code: FN4DT876888 **Total Marks:** 70

Subject : 04 Direct Tax Laws and International Taxation **Marks Obtained :** 50.5



17

$$\frac{79200 + 83400}{2} = 81300$$

Arm's length Price = ₹ 81300

Amt of adjustment required to be made to Operating Profit of Company A

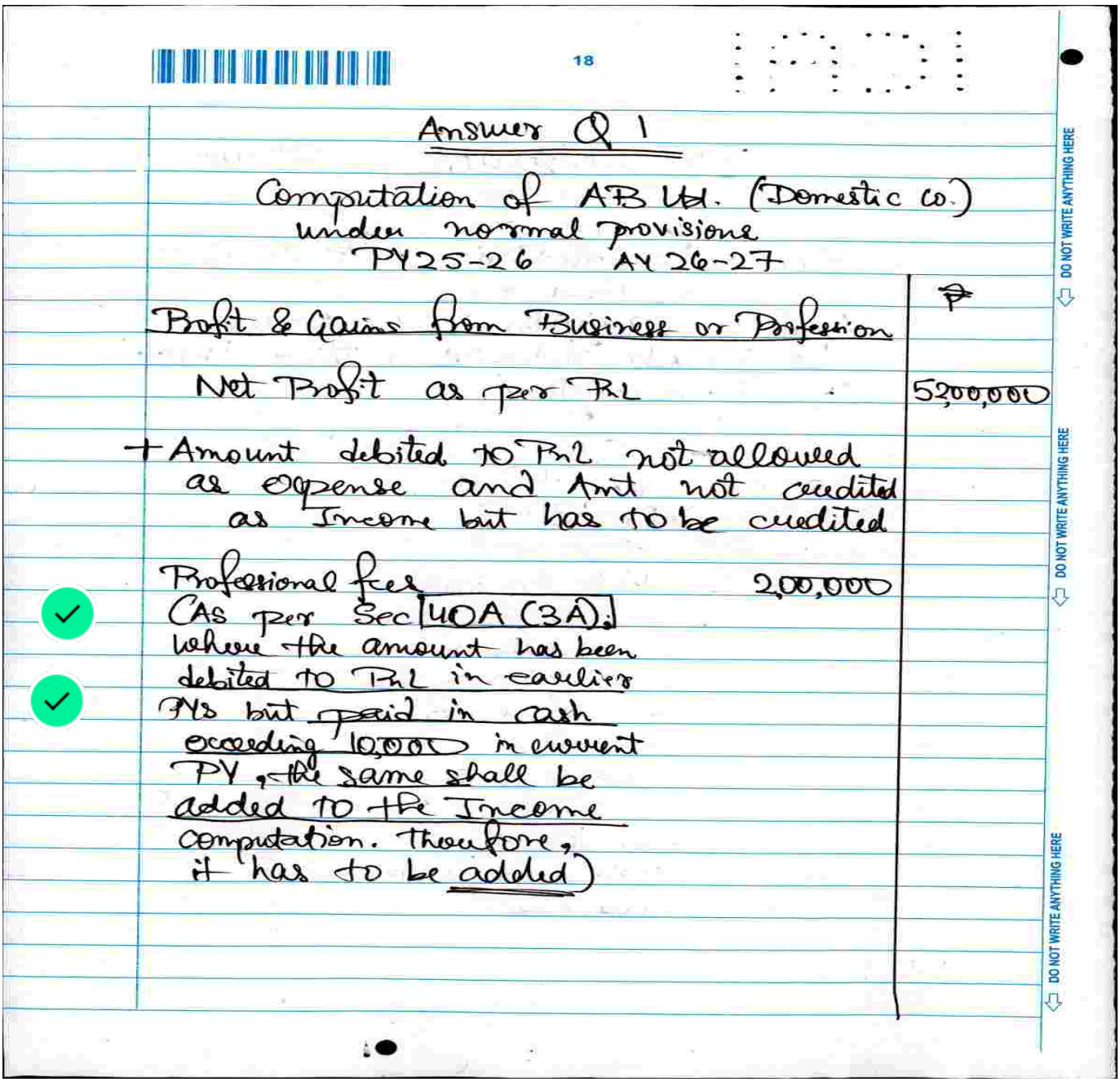
= 81300 − 72975

= ₹ 8325

4bStep1 5 Marks

4b 5 Marks

4 10.5 Marks

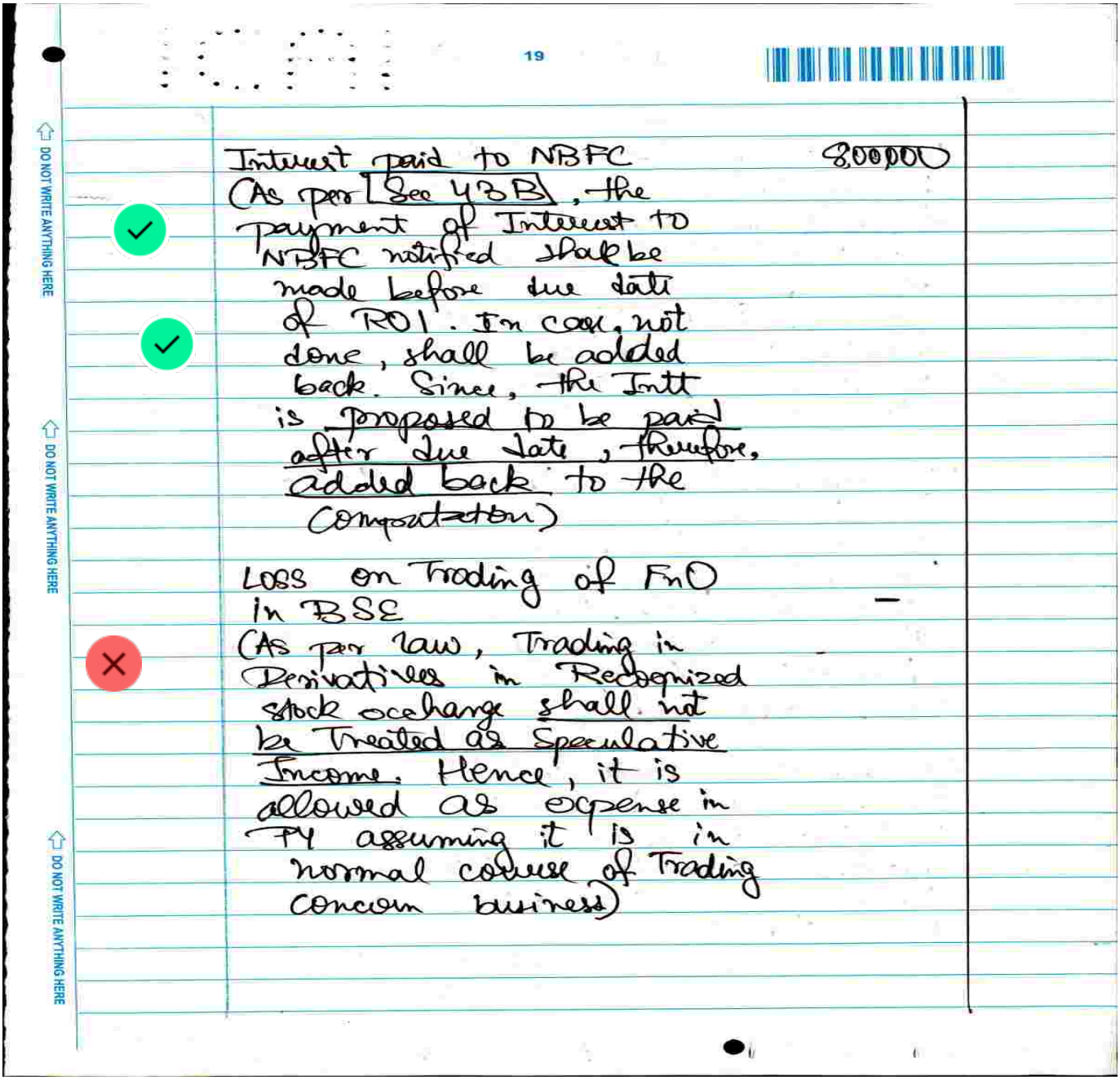


18

Answer Q 1

Computation of AB Ltd. (Domestic co.) under normal provisions
PY 25-26 AY 26-27

Profit & Gains from Business or Profession	₹
Net Profit as per P&L	5,200,000
+ Amount debited to P&L not allowed as expense and Amt not credited as Income but has to be credited	
Professional fees CAs per Sec [40A (3A)] where the amount has been debited to P&L in earlier PYs but paid in cash exceeding 10,000 in current PY, the same shall be added to the Income computation. Therefore, it has to be added)	2,00,000

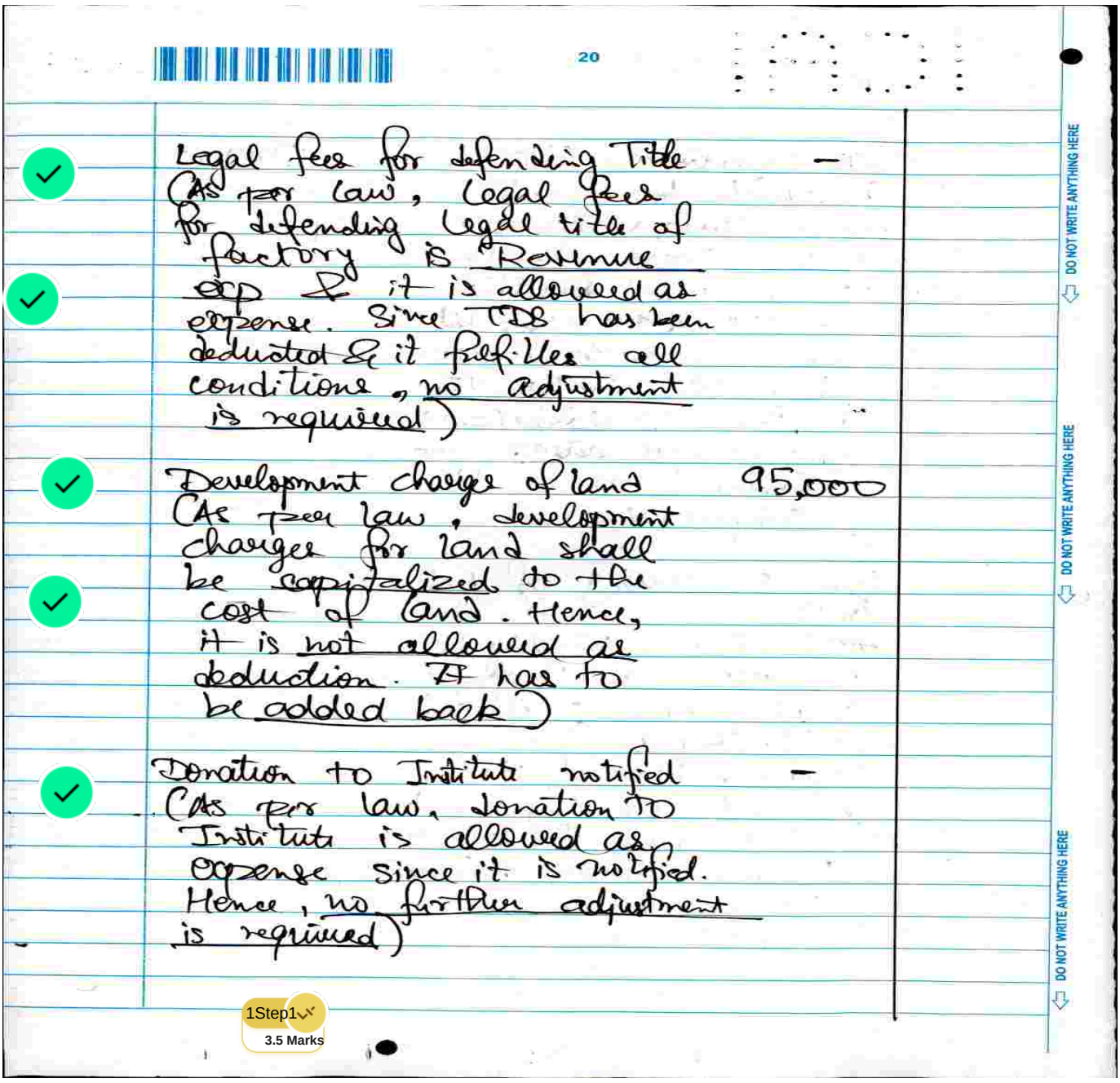


19

Interest paid to NBFC 800000
(As per [Sec 43B], the payment of Interest to NBFC notified shall be made before due date of ROI. In case, not done, shall be added back. Since, the Intt is proposed to be paid after due date, therefore, added back to the computation)

Loss on Trading of FnO in BSE
(As per law, Trading in Derivatives in Recognized stock exchange shall not be Treated as Speculative Income. Hence, it is allowed as expense in PY assuming it is in normal course of Trading Concern business)

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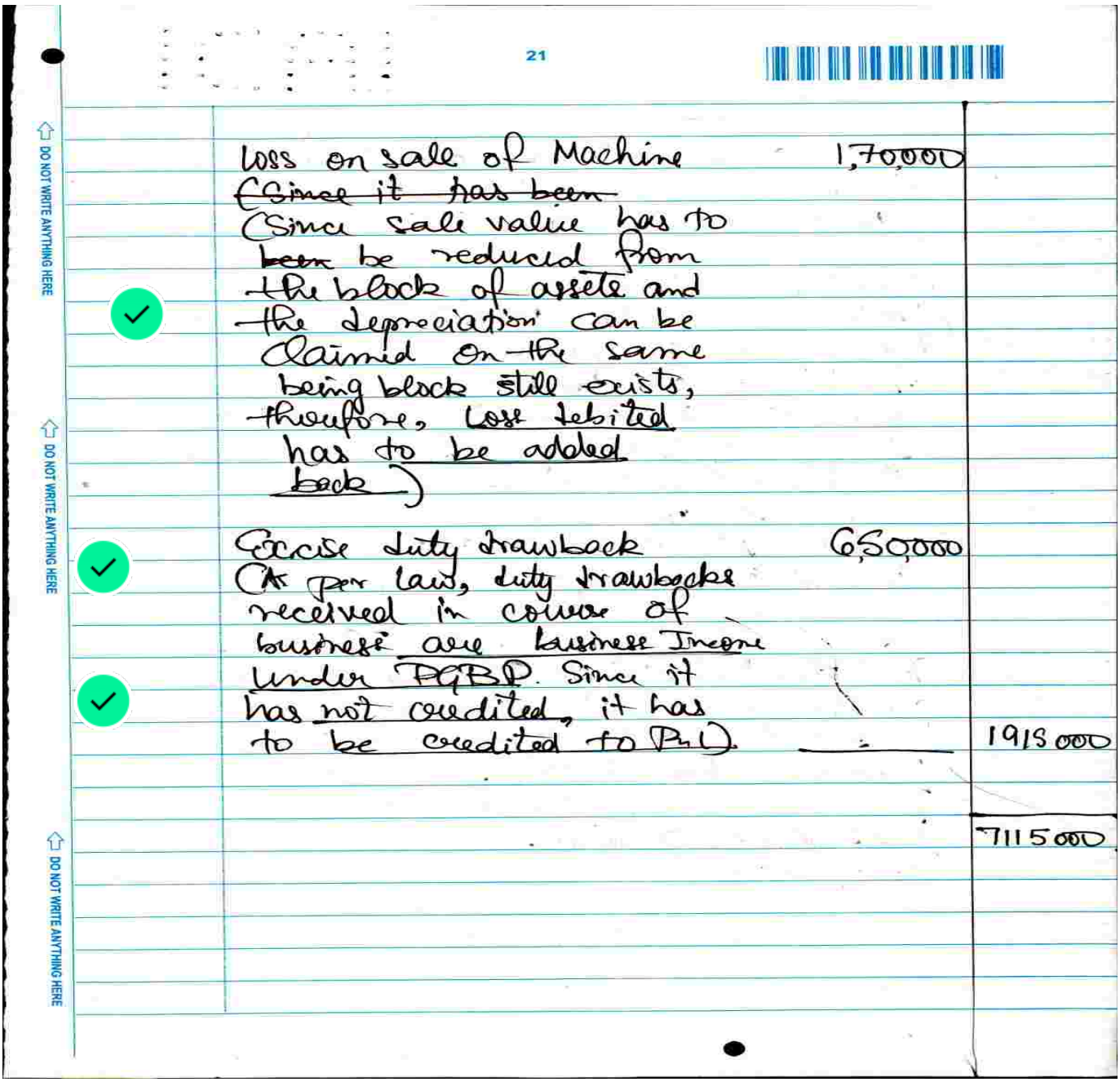
Legal fees for defending Title — (As per law, Legal fees for defending legal title of factory is Revenue exp & it is allowed as expense. Since TDS has been deducted & it fulfilles all conditions, no adjustment is required)

Development charges of land 95,000 (As per law, development charges for land shall be capitalized to the cost of land. Hence, it is not allowed as deduction. It has to be added back)

Donation to Institute notified — (As per law, donation to Institute is allowed as expense since it is notified. Hence, no further adjustment is required)

1Step1 ✓
3.5 Marks

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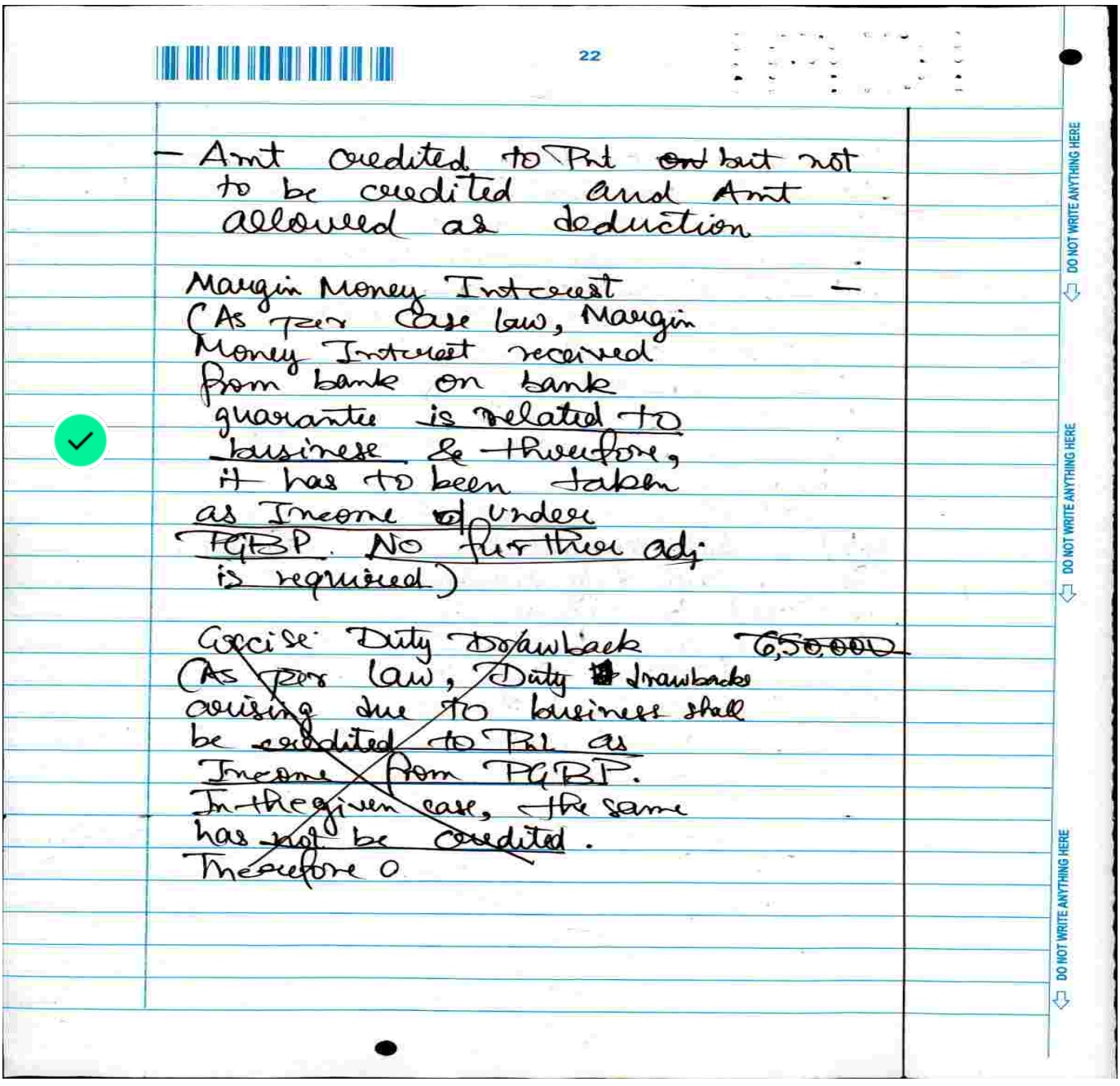
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Loss on sale of Machine (~~Since it has been~~ (Since sale value has to ~~been~~ be reduced from the block of assets and the depreciation can be claimed on the same being block still exists, therefore, Loss debited has to be added back)	1,70,000	
Excise duty drawback (As per law, duty drawbacks received in course of business are business Income under PGBP. Since it has not credited, it has to be credited to P&L)	6,50,000	1915000
		7115000



22

– Amt credited to P&L ~~on~~ but not to be credited and Amt allowed as deduction

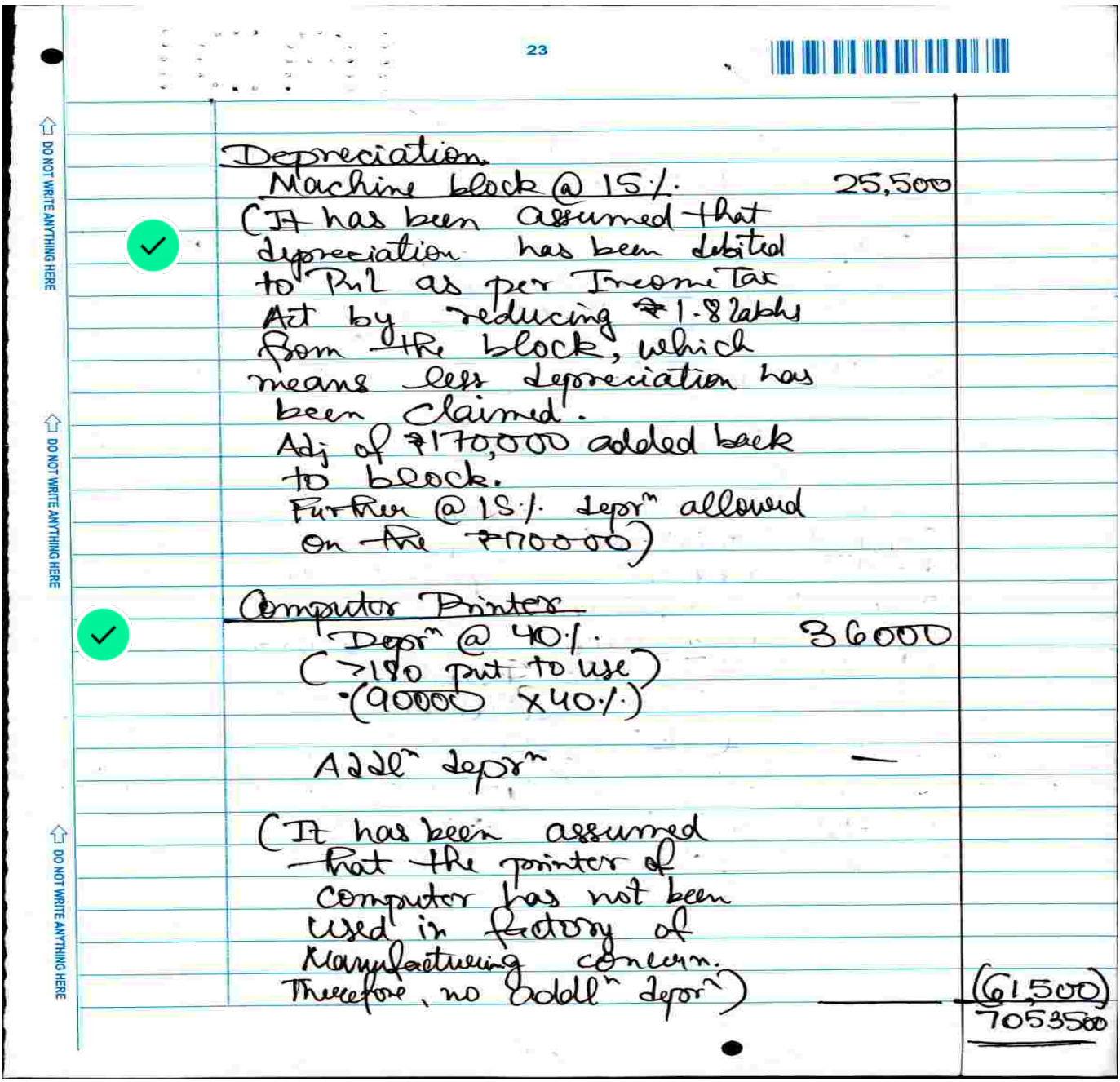
Margin Money Interest –
(As per case law, Margin Money Interest received from bank on bank guarantee is related to business & therefore, it has to been taken as Income ~~of~~ under PGBP. No further adj is required)

Excise Duty Drawback 6,50,000
(As per law, Duty ~~&~~ Drawbacks arising due to business shall be credited to P&L as Income from PGBP. In the given case, the same has ~~not~~ be credited. Therefore 0

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Depreciation.

Machine block @ 15%. 25,500

(It has been assumed that depreciation has been debited to P&L as per Income Tax Act by reducing ₹1.8 lakhs from the block, which means less depreciation has been claimed.
Adj of ₹170,000 added back to block.
Further @ 15% depr^n allowed on the ₹170000)

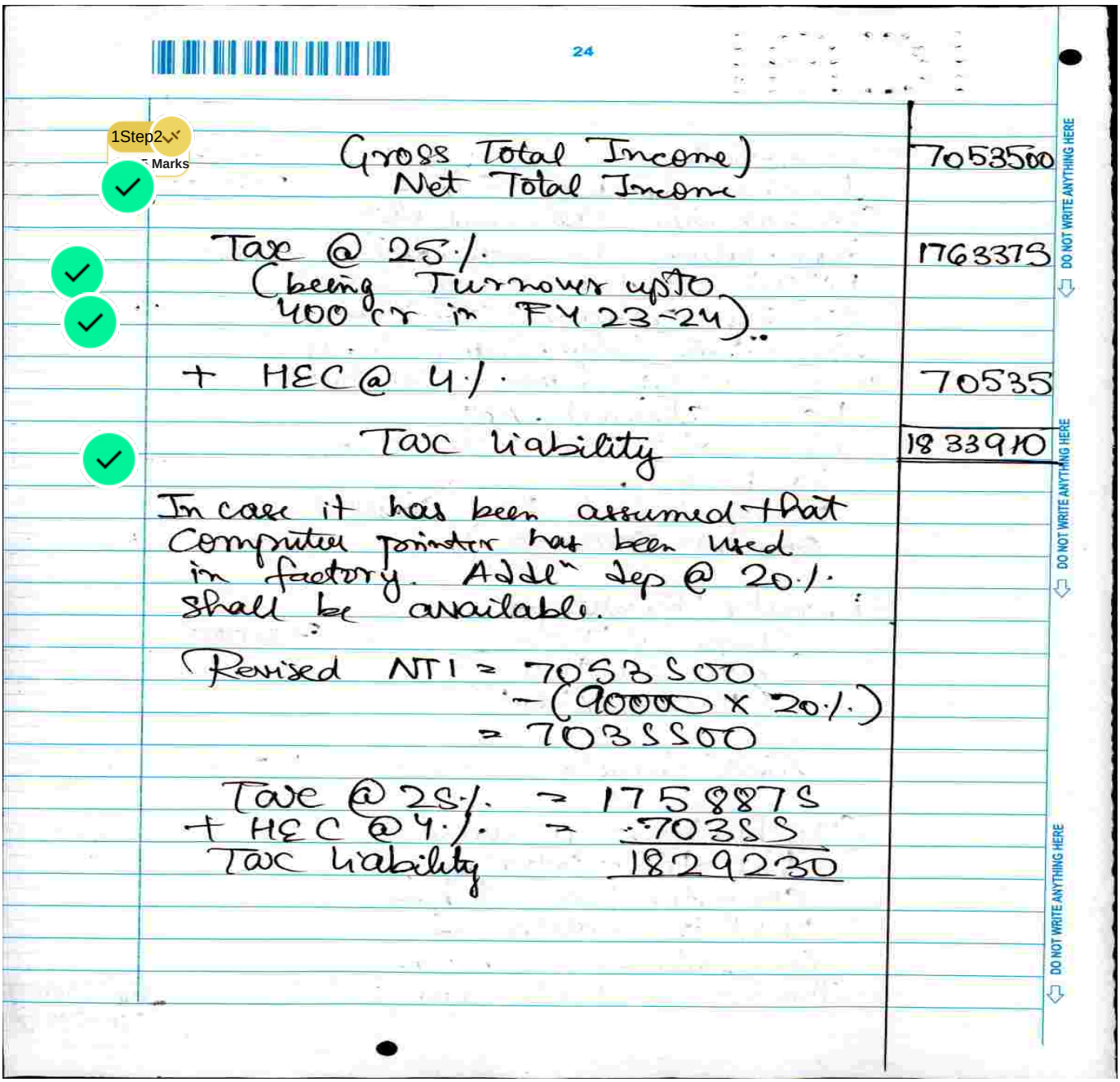
Computer Printer

Depr^n @ 40%. 36000
(>180 put to use)
(90000 x 40%)

Addl^n depr^n —

(It has been assumed that the printer of computer has not been used in factory of Manufacturing concern. Therefore, no Addl^n depr^n) (61,500)

705500



24

1Step2 ✓ Marks

Gross Total Income) Net Total Income	7053500
Tax @ 25%. (being Turnover upto 400 cr in FY 23-24)..	1763375
+ HEC @ 4%.	70535
Tax liability	1833910

In case it has been assumed that Computer printer has been used in factory. Addl" dep @ 20%. shall be available.

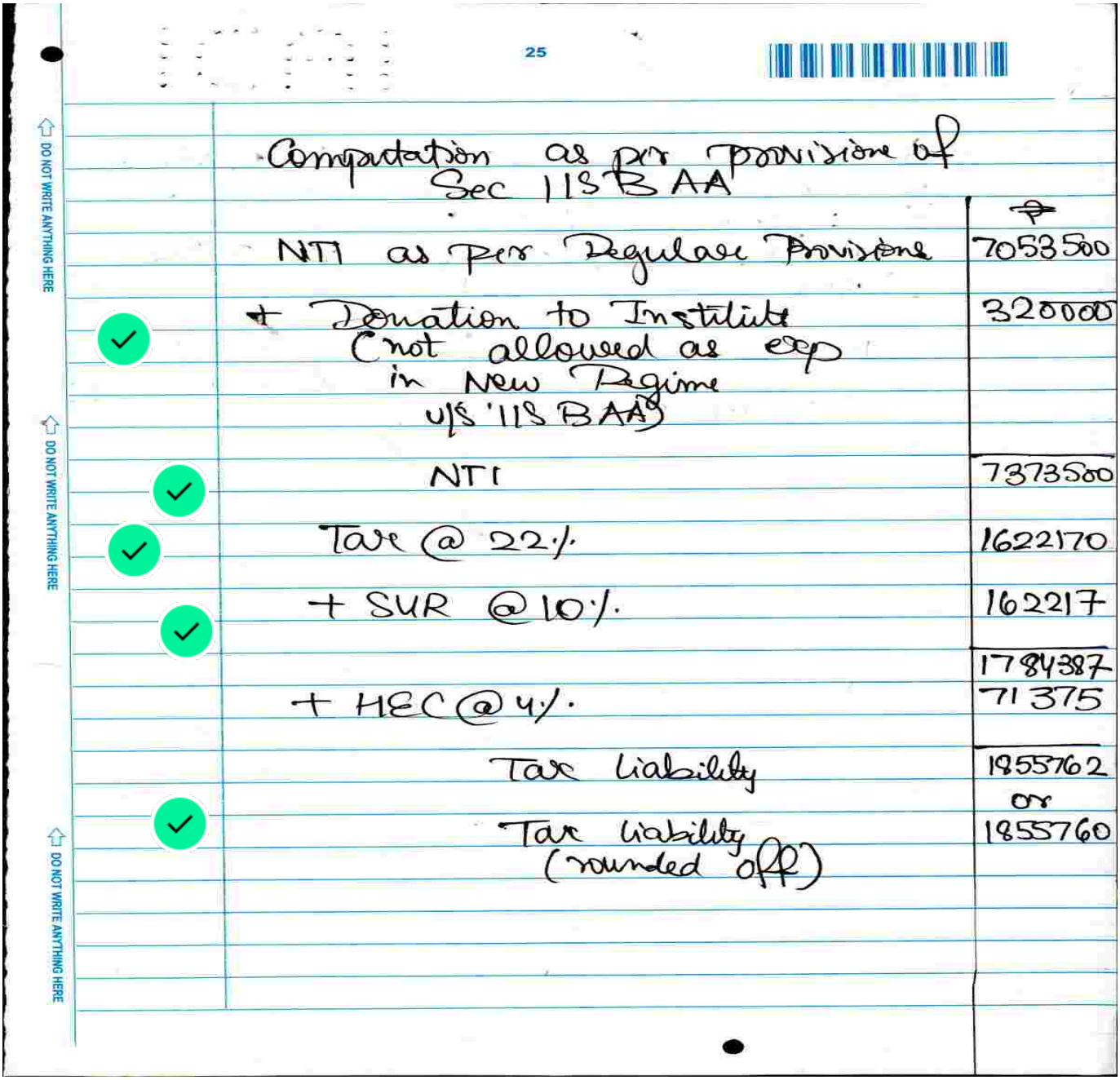
Revised NTI = 7053500 − (90000 × 20%) = 7035500

Tax @ 25%.	= 1758875
+ HEC @ 4%.	= 70355
Tax liability	1829230

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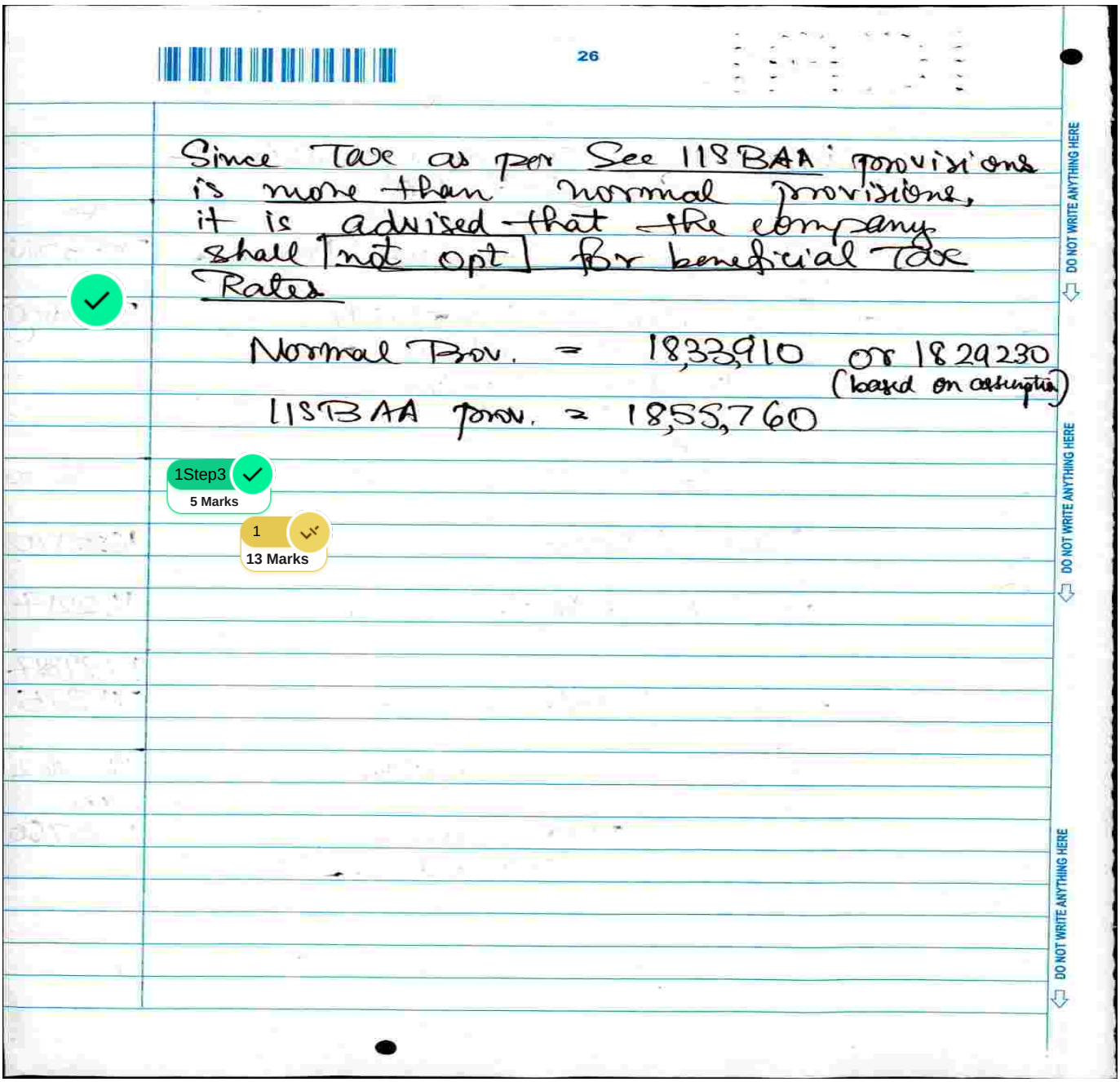
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Computation as per provisions of Sec 115BAA

NTI as per Regular Provisions	7053500
+ Donation to Institute (not allowed as exp in New Regime u/s 115BAA)	320000
NTI	7373500
Tax @ 22%	1622170
+ SUR @ 10%	162217
	1784387
+ HEC @ 4%	71375
Tax liability	1855762
	or
Tax liability (rounded off)	1855760



26

Since Tax as per Sec 115BAA provisions is more than normal provisions, it is advised that the company shall [not opt] for beneficial Tax Rates

Normal Prov. = 18,33,910 or 18,29,230 (based on assumption)

115BAA Prov. = 18,55,760

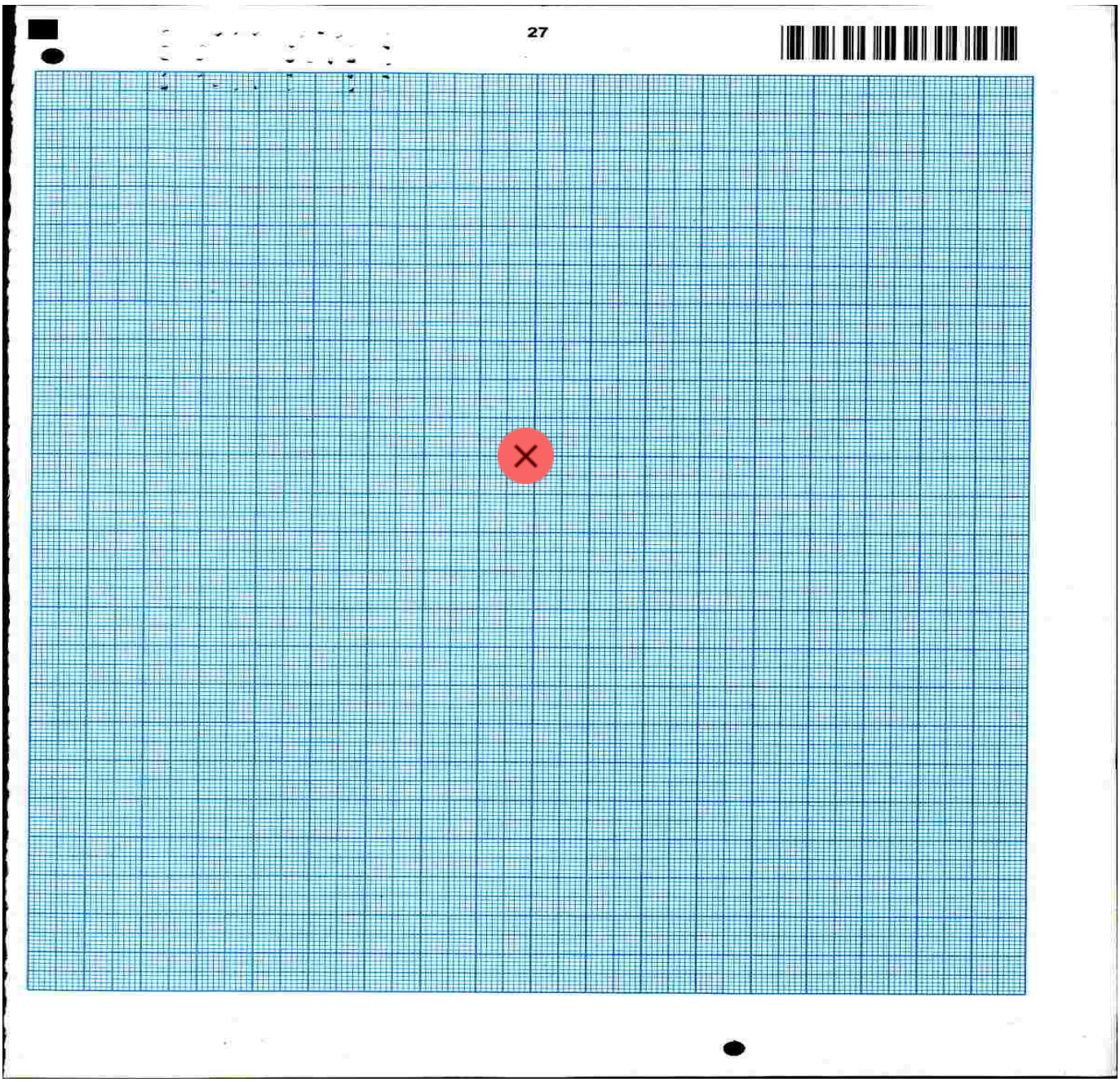
1Step3 ✓
5 Marks

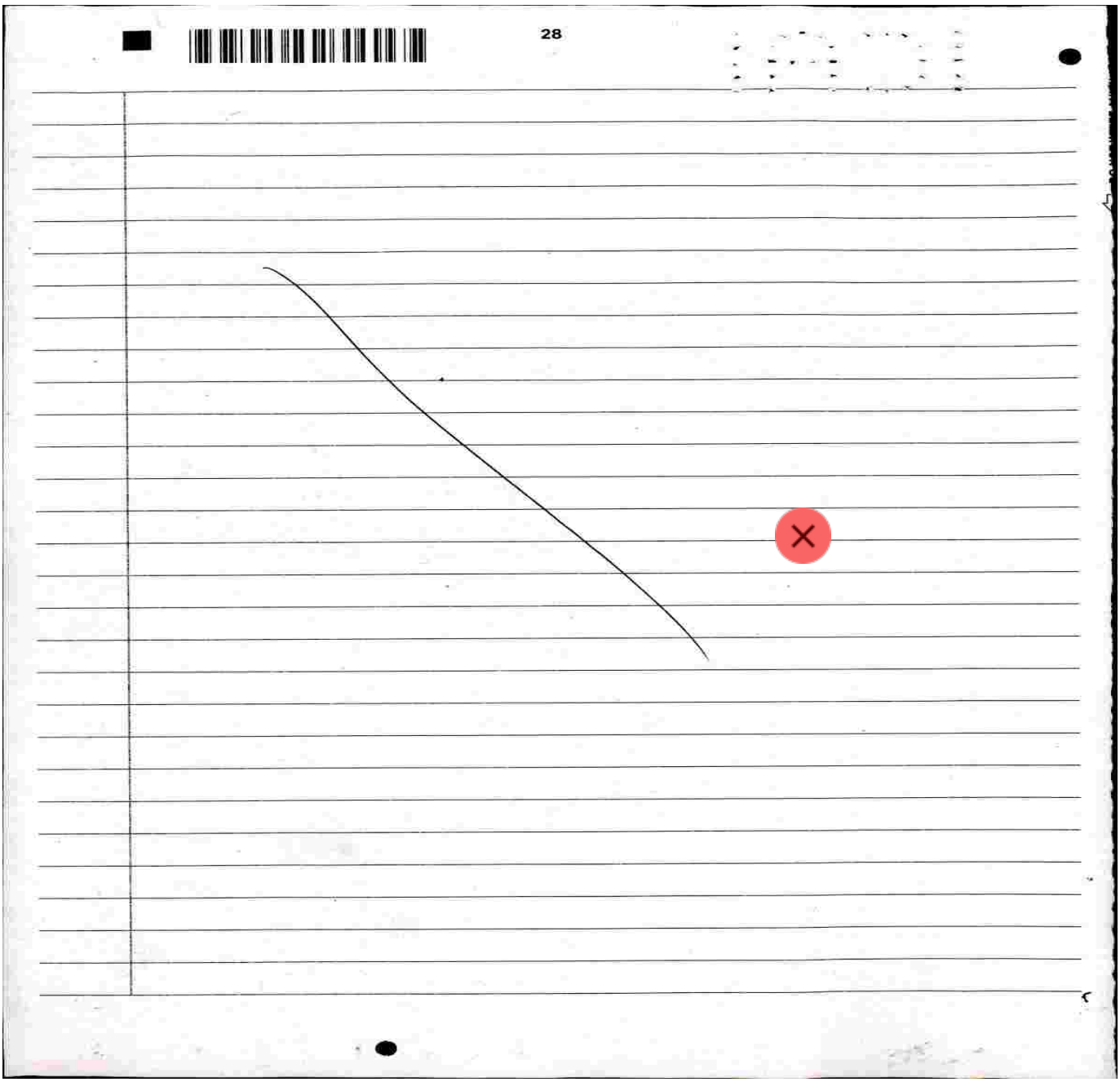
1 ✓
13 Marks

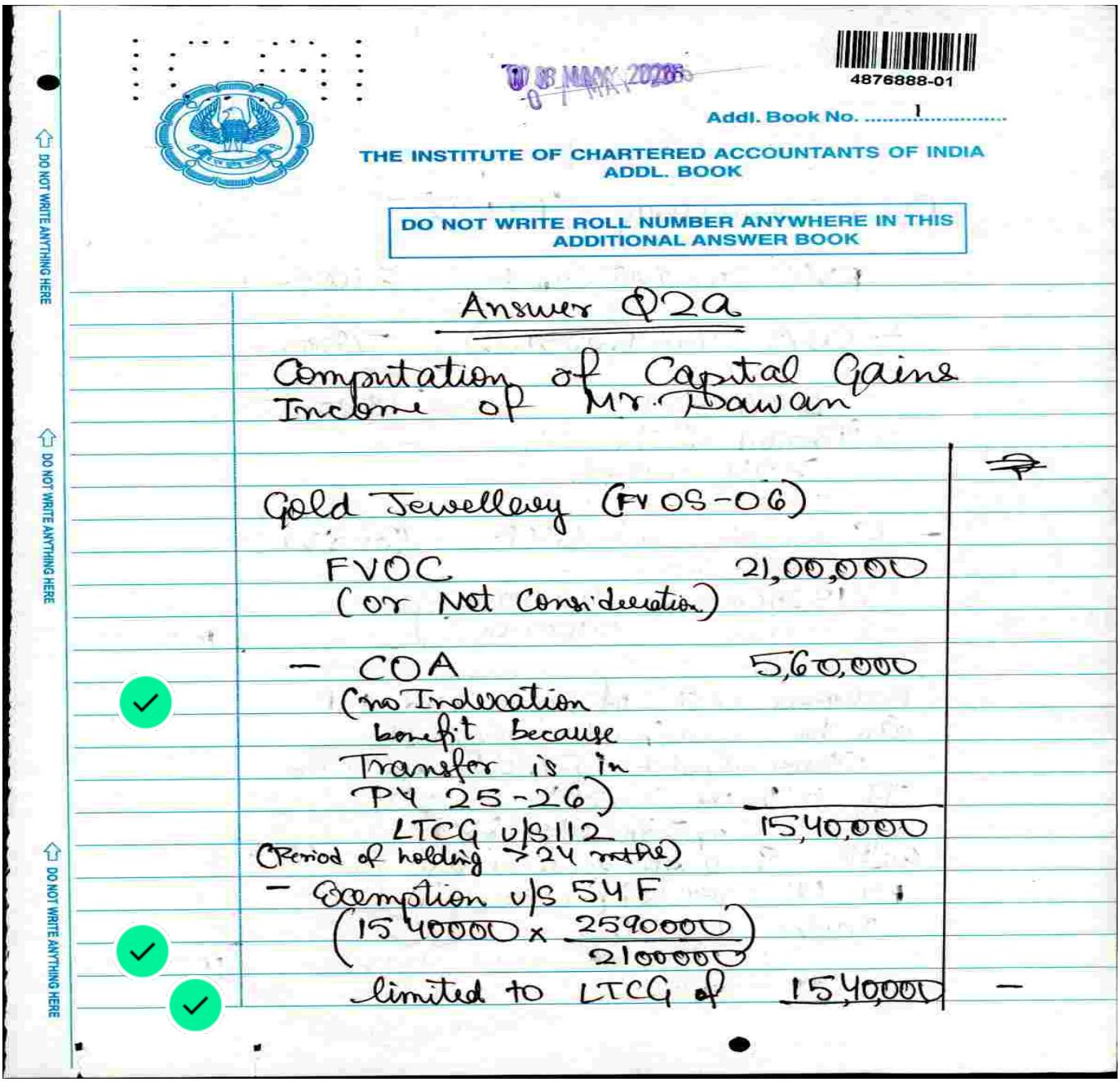
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Addl. Book No. 1

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

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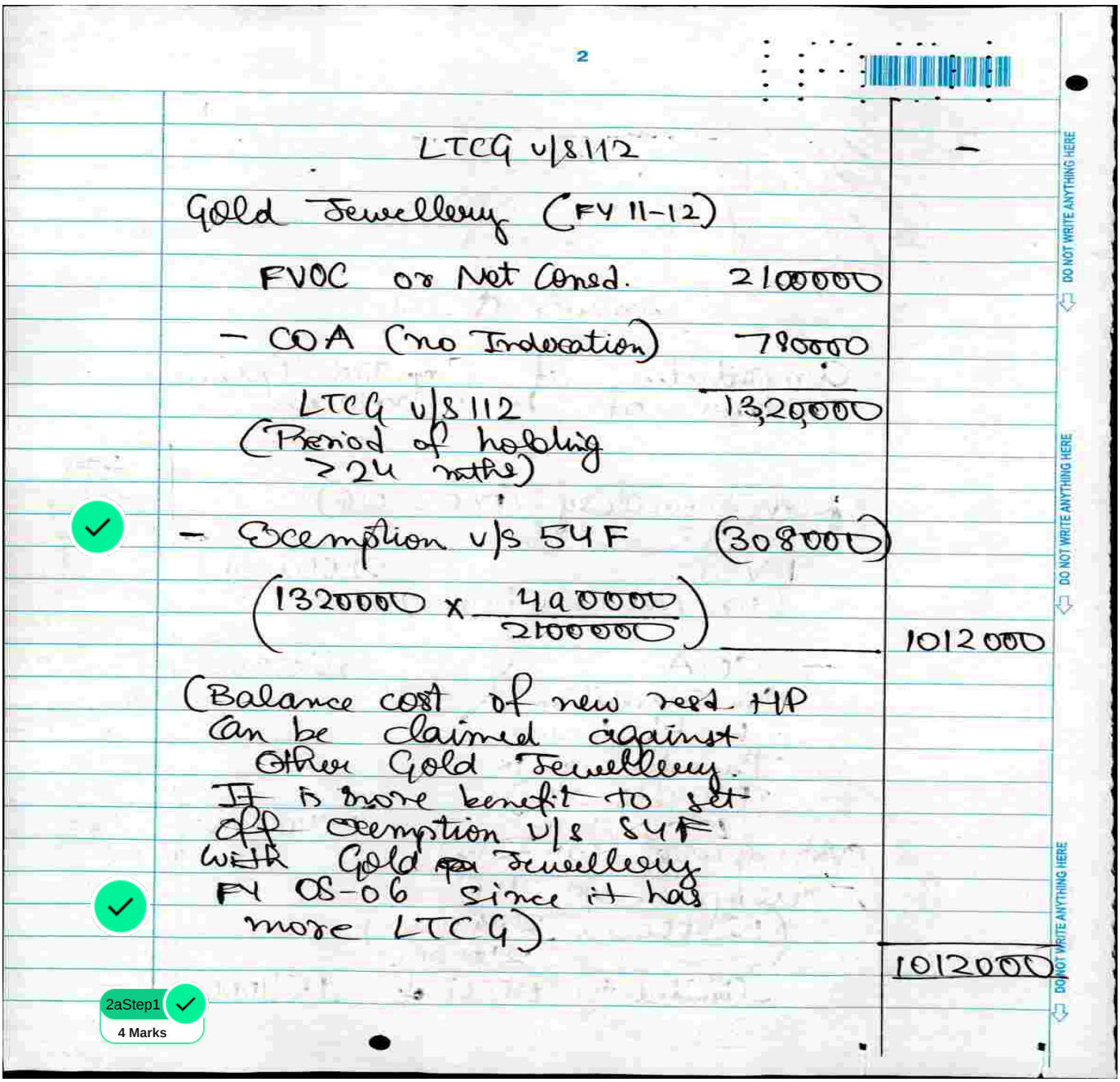
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Answer Q2a

Computation of Capital Gains Income of Mr. Dawan

Gold Jewellery (FY 05-06)

FVOC (or Net Consideration)	21,00,000
– COA (no Indexation benefit because Transfer is in PY 25-26)	5,60,000
LTCG u/s 112 (Period of holding > 24 mths)	15,40,000
– Exemption u/s 54F ($15\,40000 \times \frac{2590000}{2100000}$) limited to LTCG of	15,40,000 –



2

LTCG u/s 112

Gold Jewellery (FY 11-12)

FVOC or Net Consd.	2100000
– COA (no Indexation)	780000
LTCG u/s 112 (Period of holding > 24 mths)	1320000
– Exemption u/s 54F	(308000)
$\left(1320000 \times \frac{420000}{2100000}\right)$	1012000

(Balance cost of new resd. HP can be claimed against other Gold Jewellery. It is more benefit to set off exemption u/s 54F with Gold Jewellery FY 05-06 since it has more LTCG)

1012000

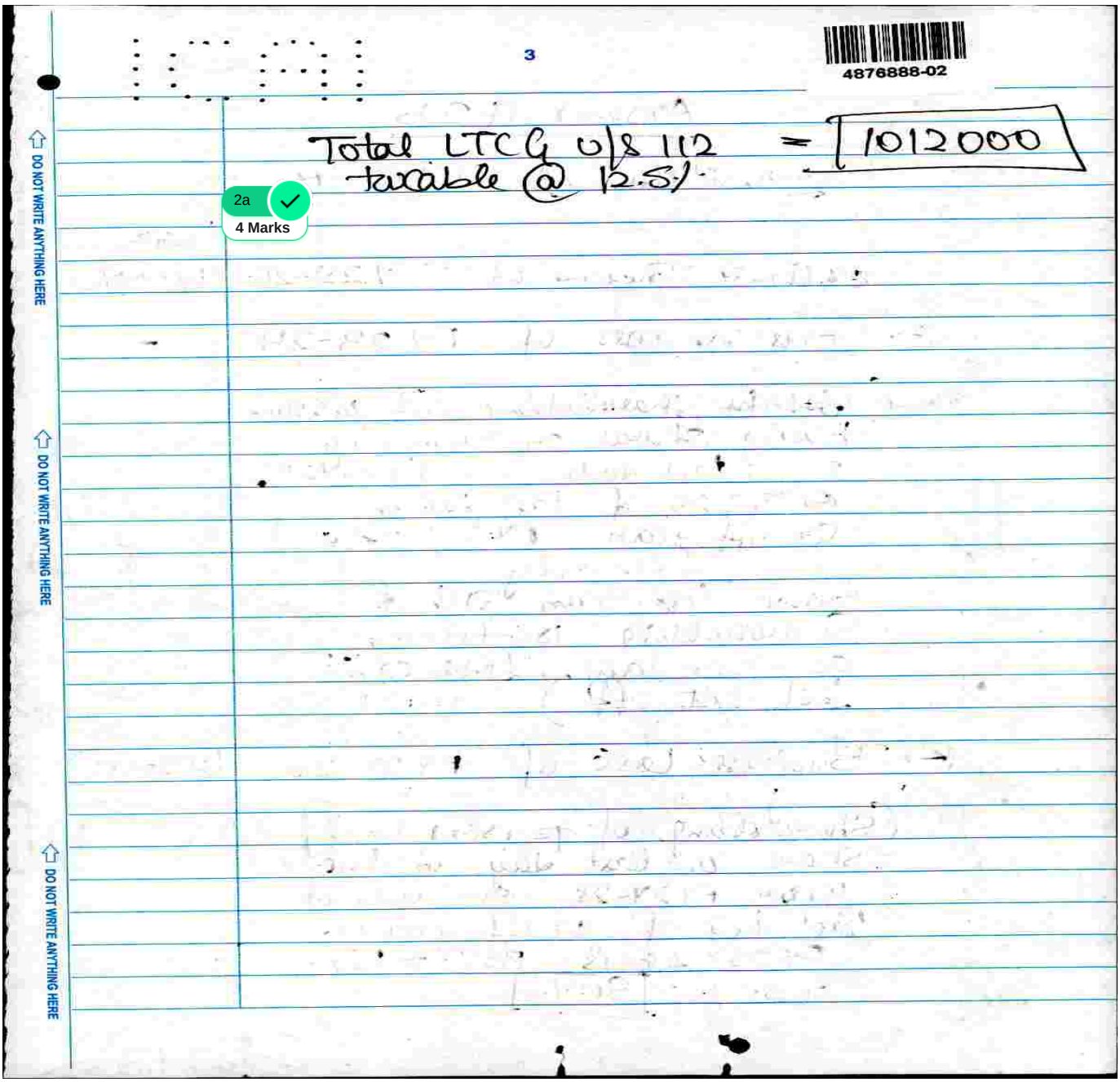
2aStep1
4 Marks

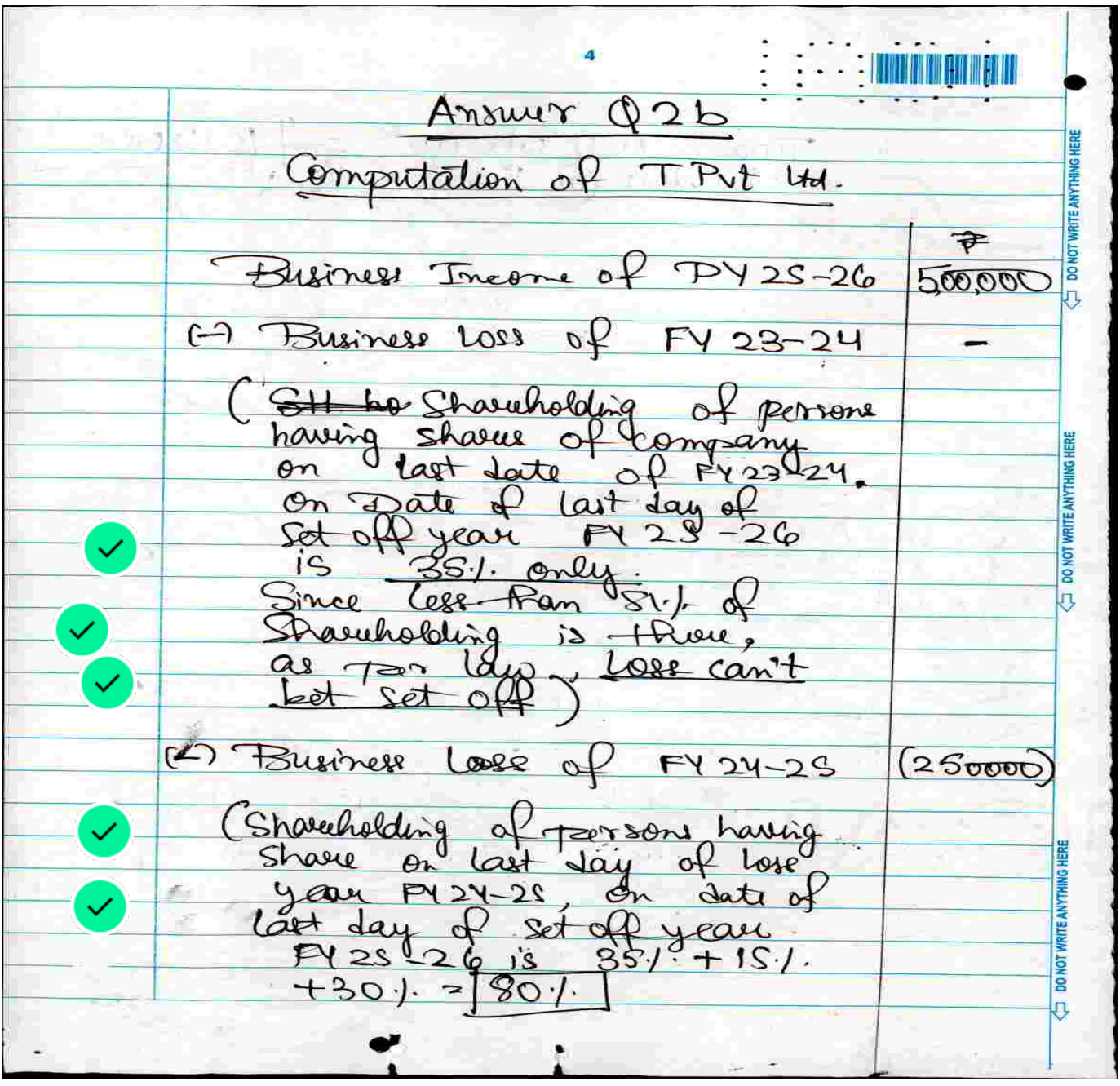
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Code: FN4DT876888 **Total Marks:** 70

Subject : 04 Direct Tax Laws and International Taxation **Marks Obtained :** 50.5



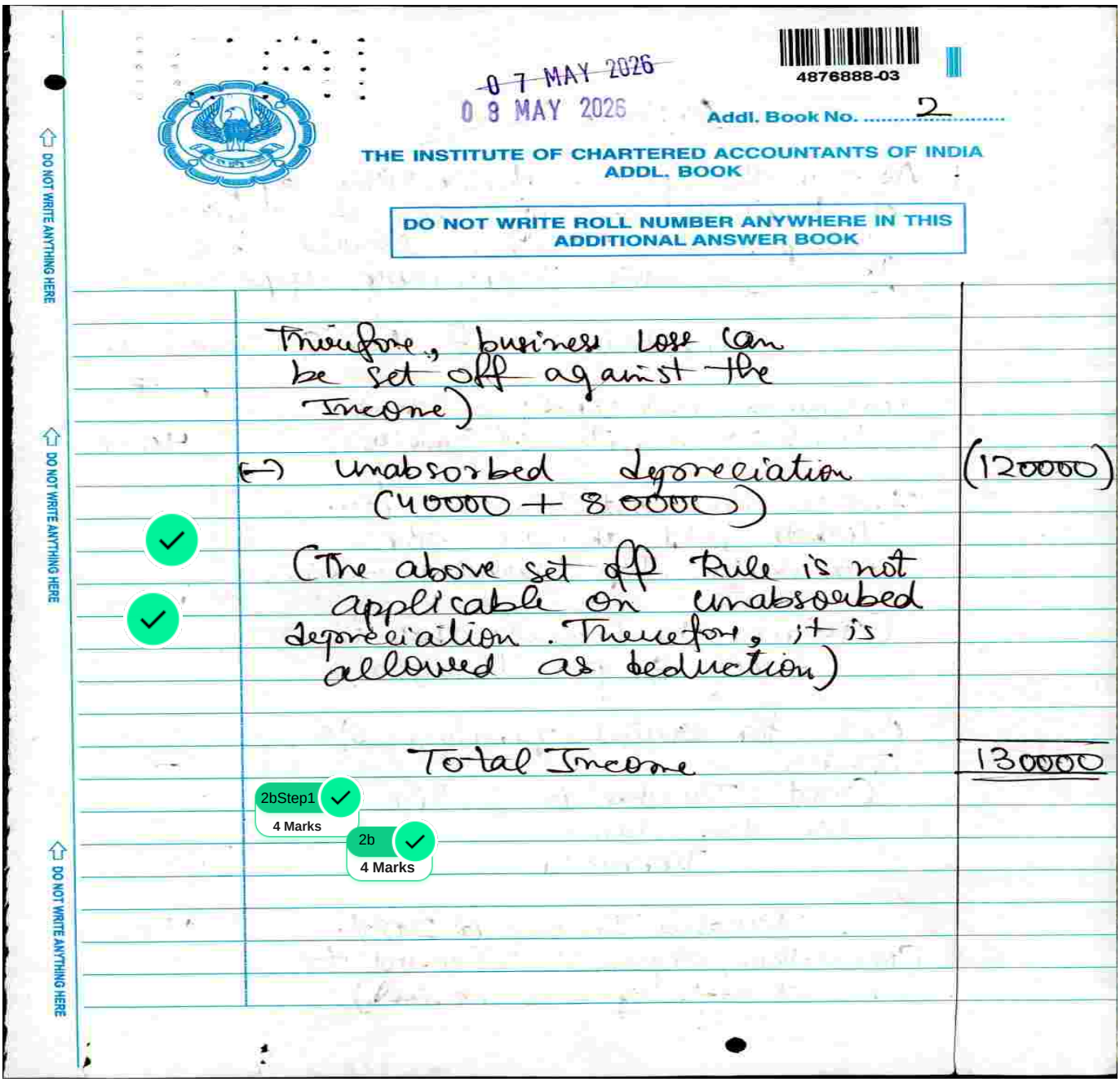


4

Answer Q2b

Computation of T Pvt Ltd.

	₹
Business Income of PY 25-26	5,00,000
(-) Business loss of FY 23-24	-
(Shareholding of persons having shares of company on last date of FY 23-24. On Date of last day of set off year FY 25-26 is 35% only. Since less than 51% of Shareholding is there, as per law, Loss can't be set off)	
(-) Business loss of FY 24-25	(250000)
(Shareholding of persons having share on last day of loss year FY 24-25, on date of last day of set off year FY 25-26 is 35% + 15% + 30% = 80%)	



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Therefore, business loss can be set off against the Income)

(-) Unabsorbed depreciation (40000 + 80000) (120000)

(The above set off Rule is not applicable on unabsorbed depreciation. Therefore, it is allowed as deduction)

Total Income 130000

2bStep1 4 Marks

2b 4 Marks

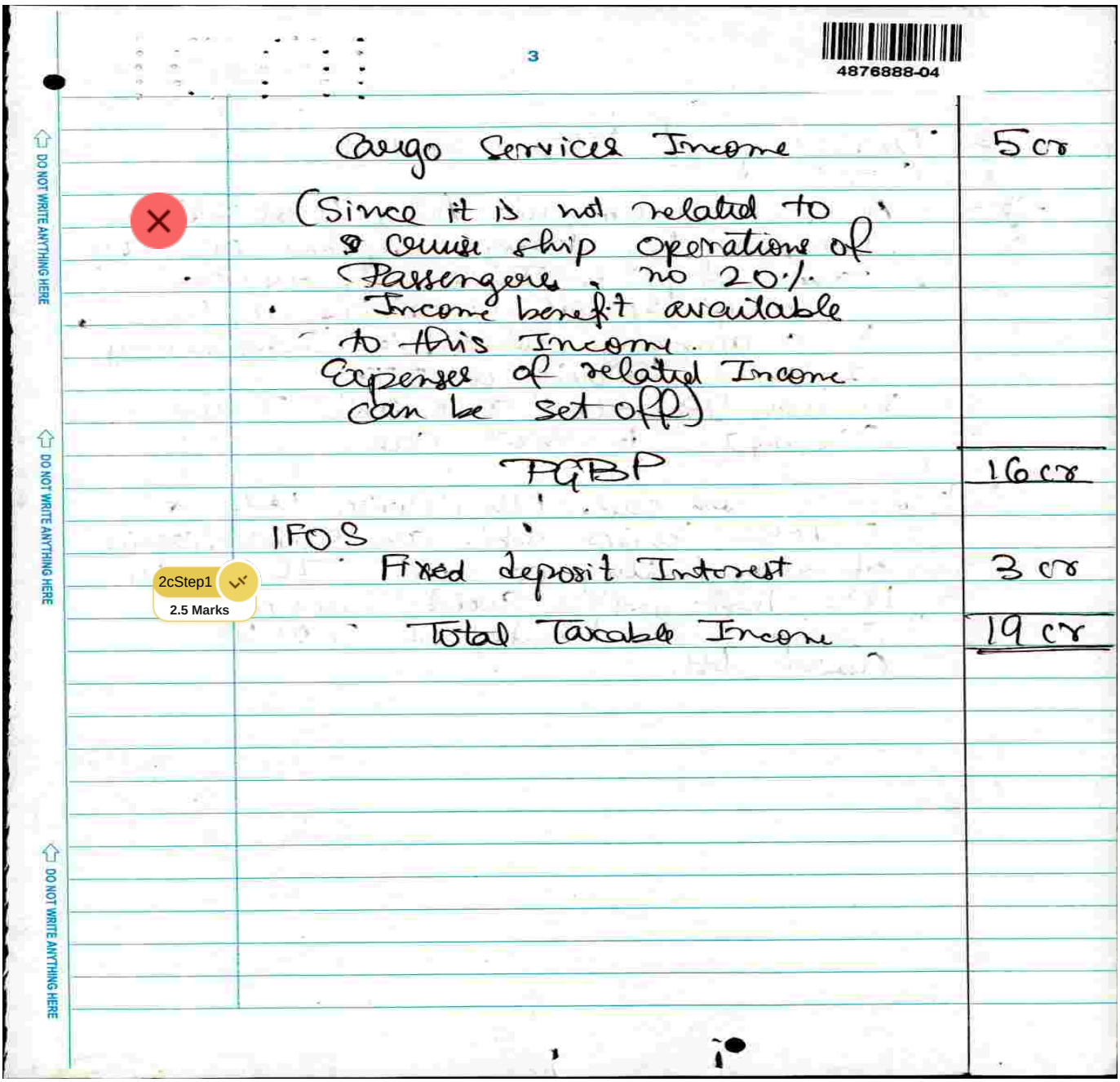
Answer 2 (C)

As per the Special provisions applicable of business of operation of cruise ship, the PGBP shall be [20%] of the Turnover applicable

Computation of NWG Cruises Ltd.

	₹
Passengers embarking in India touching ports of India	40 cr
Amt received outside India for Tickets sold abroad for the cruise Ship touching Indian Port (Deemed to be Taxable in India as per law)	15 cr
Amt for cruise operating o/s India (not Taxable in India as per law)	—
Turnover	55 cr
Taxable Income @ 20% (NO other expenses allowed to be set off. eg: lease Rental)	11 cr

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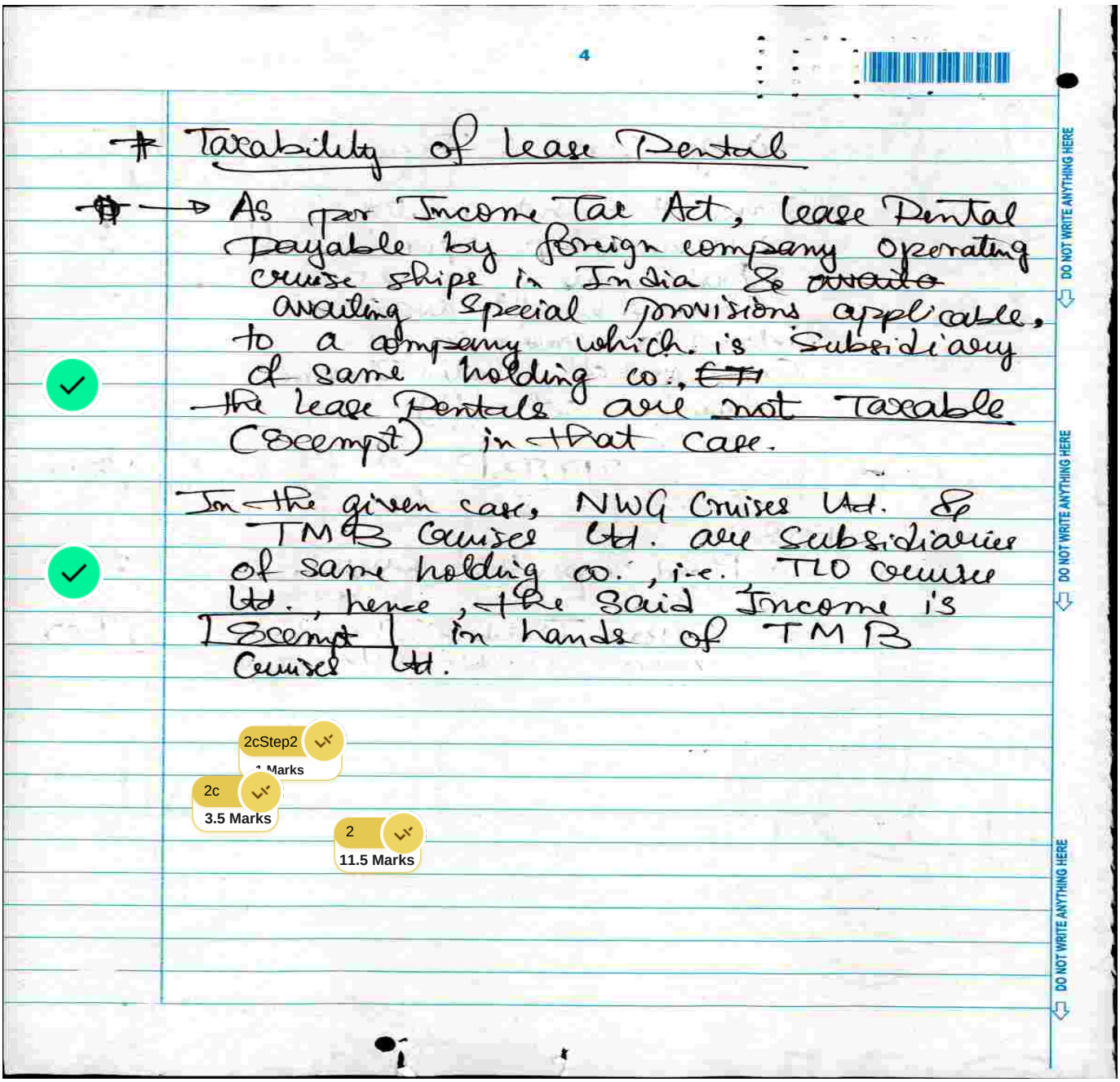
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Cargo Services Income	5 cr
(Since it is not related to Cruise ship operations of Passengers, no 20% Income benefit available to this Income. Expenses of related Income can be set off)	
PGBP	16 cr
IFOS	
Fixed deposit Interest	3 cr
Total Taxable Income	19 cr

2cStep1
2.5 Marks



4

Taxability of Lease Rentals

→ As per Income Tax Act, Lease Rental Payable by foreign company operating cruise ships in India & availing Special Provisions applicable, to a company which is Subsidiary of same holding co., the lease Rentals are not Taxable (Exempt) in that case.

In the given case, NWG Cruises Ltd. & TMB Cruises Ltd. are subsidiaries of same holding co., i.e. TLO Cruises Ltd., hence, the said Income is Exempt in hands of TMB Cruises Ltd.

2cStep2 1 Marks
2c 3.5 Marks
2 11.5 Marks

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Answer Q5a

(i) **Issue Involved:**
Whether automatic vacation of stay order upon expiry of extended period of 365 days is valid, if delay is not attributable to assessee.

Provisions
As per Income Tax Act, ITAT can allow stay on recovery proceeding upto 365 days (including extended time), after which it is automatically vacated.

Analysis

As per Case law of [Pepsi Foods India Ltd.], the same matter was into consideration. (Supreme Court case law)

The court held that the delay due to reasons, which are not attributable to assessee, can't held assessee as in default.

The Assessee was protected by the court and the stay on recovery proceedings was not automatically vacated by the court.

Conclusion

Appling the same case law in the given scenario, the automatic vacation of stay order on expiry of period is not valid reason being, the delay in disposing off of appeal is not attributable to assessee.

5aiORiiStep1 2 Marks

5aiORii 2 Marks

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(ii) **Issue Involved**

Whether the high court can decide the case on the basis of question of law raised by Appellant without framing substantial question of law ?

Provisions

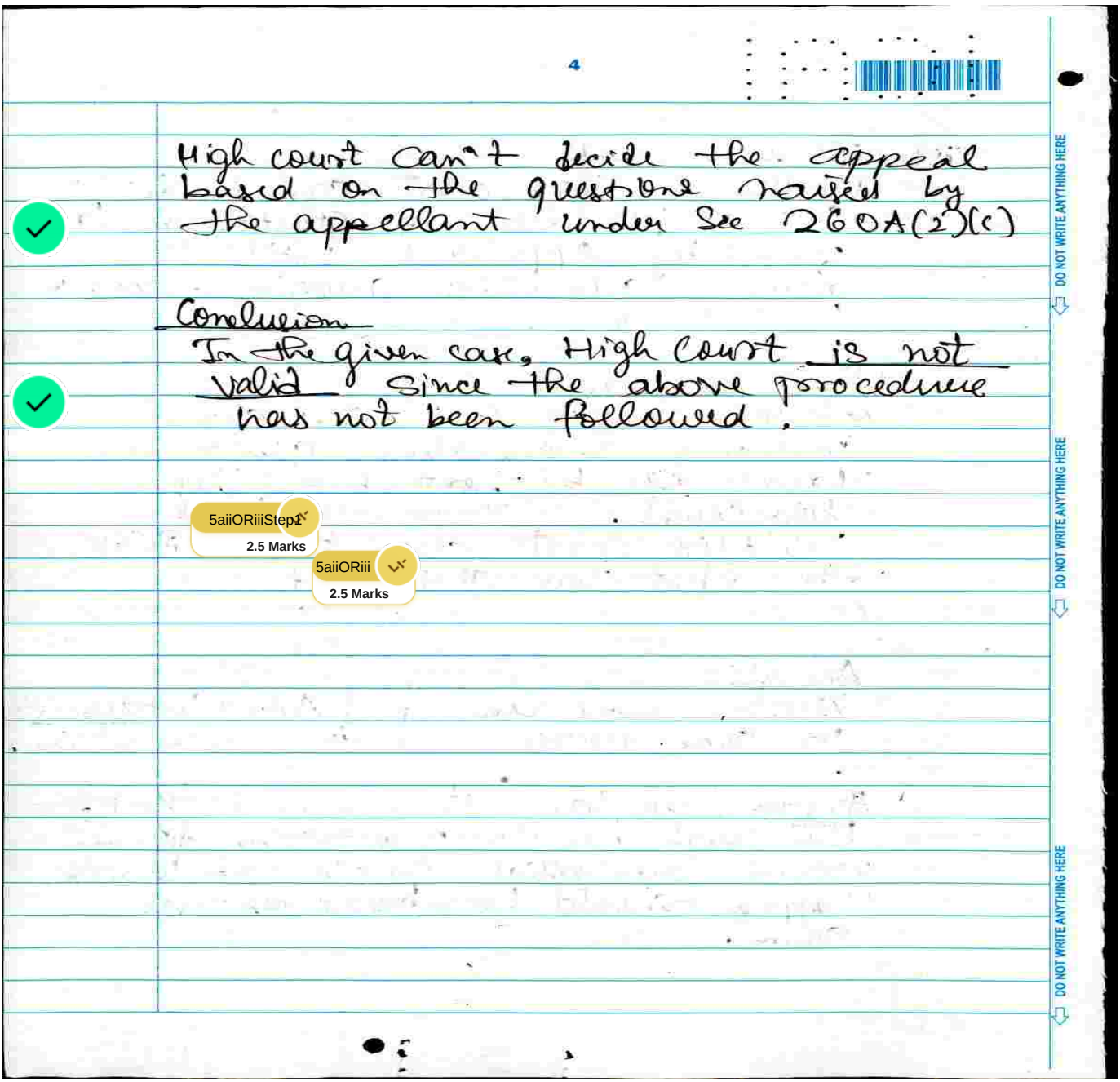
As per Income Tax Act, cases involving substantial question of law can be ~~held~~ heard by High Court.

The High Court shall frame itself the substantial question of law.

Analysis

As per Case law of [A.A. Estates] the same matter was in consideration.

As per Case law, it was held that, High Court has to mandatory ~~fo~~ frame substantial question of law & appeal should be heard on the same.



4

High court can't decide the appeal based on the question raised by the appellant under Sec 260A(2)(c)

Conclusion

In the given case, High Court is not valid since the above procedure has not been followed.

5aiiORiiiStep1 2.5 Marks

5aiiORiii 2.5 Marks

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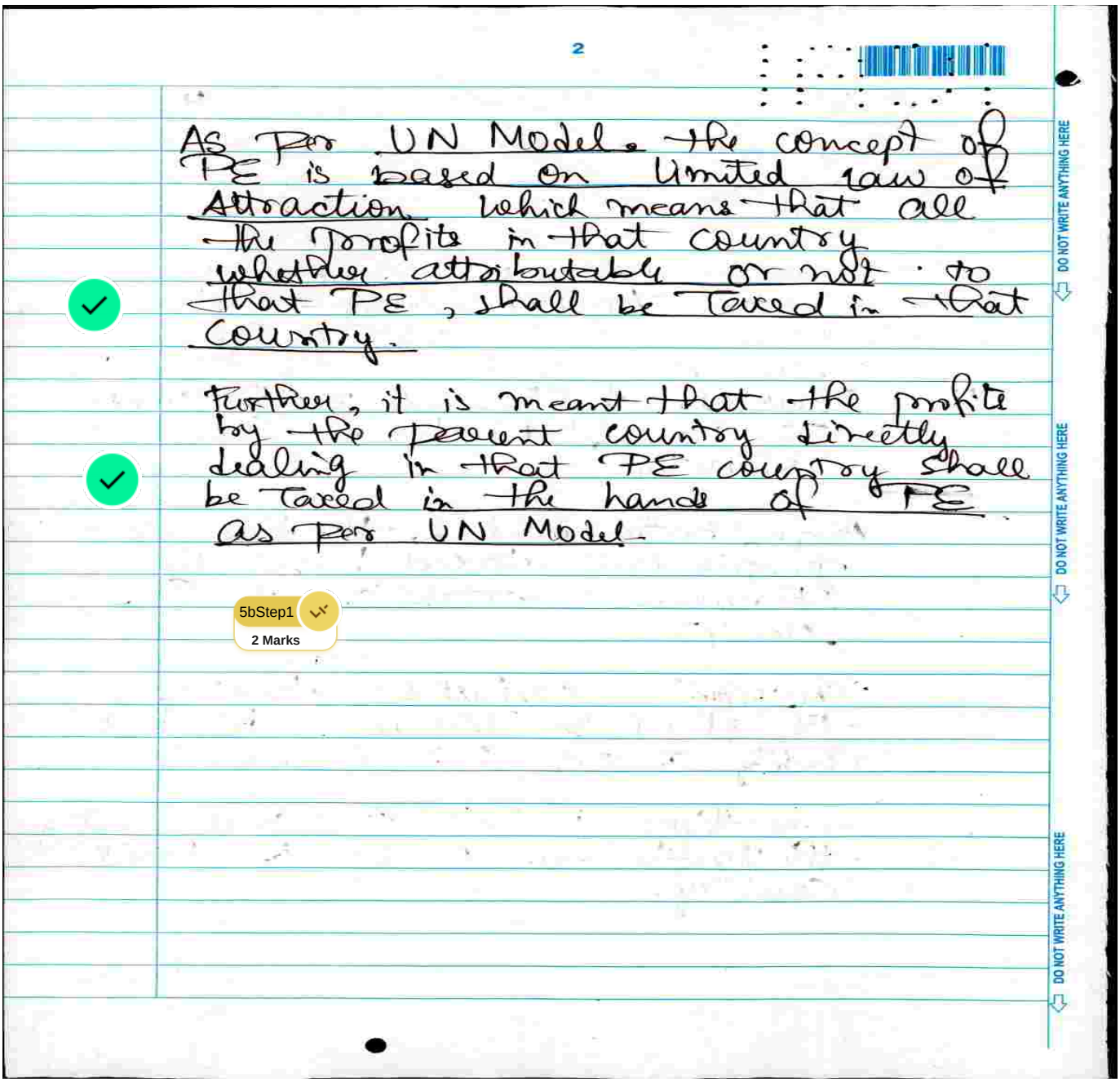
Answer 5(b)

(i) Taxability of Business profits under OECD & UN Model Tax Convention

As per both Models, the business profits are taxed based on Permanent establishment (PE) concept

The profits attributable to the PE shall be taxable in that country as per OECD model

Where there is PE in that country the profits shall taxable in that country.



2

As Per UN Model, the concept of PE is based on United law of Attraction which means that all the profits in that country whether attributable or not to that PE, shall be taxed in that country.

Further, it is meant that the profits by the parent country directly dealing in that PE country shall be taxed in the hands of PE as Per UN Model.

5bStep1
2 Marks

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(ii) Dispute Resolution under Article of Mutual Agreement Procedure

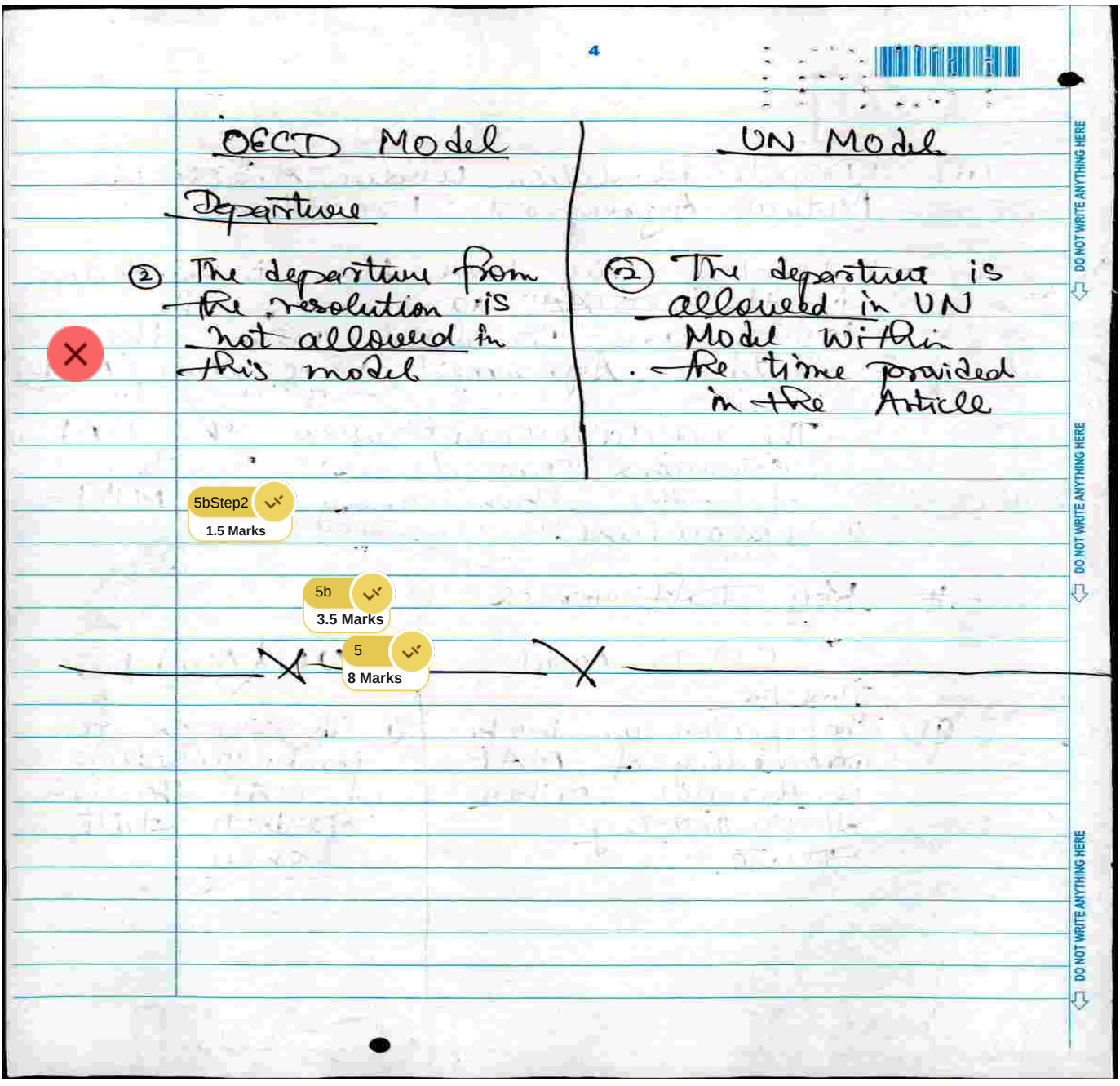
→ Whether they have been inconsistencies in the DTAA agreement, the issues are resolved using the Mutual Agreement Procedure (MAP)

The article containing the MAP contains procedures relating to the functioning of MAP procedure.

Key Differences

	OECD Model	UN Model
Invoke		
①	The person can invoke proceeding of MAP to through either of Contracting State.	① The person can invoke proceedings of MAP through Resident state only

Code: FN4DT876888 **Total Marks:** 70
Subject : 04 Direct Tax Laws and International Taxation **Marks Obtained :** 50.5



4

OECD Model	UN Model
Departure	
(2) The departure from the resolution is not allowed in this model	(2) The departure is allowed in UN Model within the time provided in the Article

5bStep2 1.5 Marks

5b 3.5 Marks

5 8 Marks

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Result Overview

Awarded Marks:50.5	Max Marks:70

Not Attempted	Optional	M Marked

Q1_Compulsory (Score: 13/14)

Question No	Awarded Marks	Maximum Marks	Status
1	13	14	M

Q2_Q6 (Score: 37.5/56)

Question No	Awarded Marks	Maximum Marks	Status
2	11.5	14	M
2a	4	4	M
2b	4	4	M
2c	3.5	6	M
3	7.5	14	M
3ai	1	3	M
3aii	1	3	M
3aiii	1.5	2	M
3b	4	6	M

4	10.5	14	M
4ai	1.5	2	M
4aii	2	2	M
4aiii	2	2	M
4aiv	0	2	M
4b	5	6	M
5	8	14	M
5aiORii	2	4	M
5aiiORiii	2.5	4	M
5b	3.5	6	M
6	0	14	
6a	0	6	
6b	0	4	
6c	0	4	